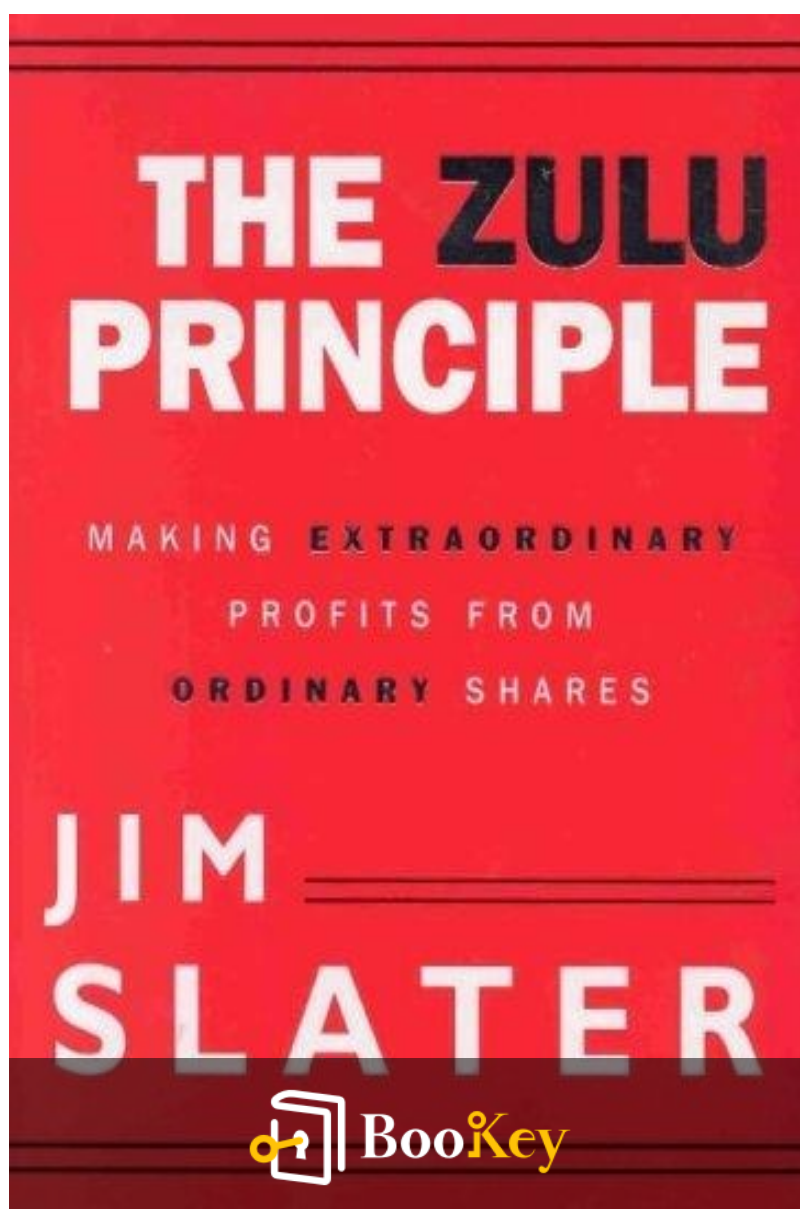


The Zulu Principle PDF

Jim Slater



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The Zulu Principle

Unlocking Profits Through Strategic Investment
Insights and Analysis.

Written by Bookey

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About the book

In "The Zulu Principle," renowned stock market expert Jim Slater shares his exceptional insights into successful investing, making them accessible to both novice shareholders and seasoned portfolio managers. At the heart of his strategy lies the concept of focusing on a specialized niche in the market to uncover undervalued companies poised for growth. Slater skillfully intertwines personal anecdotes with analytical expertise, offering readers practical criteria for selecting dynamic growth stocks, turnaround opportunities, cyclical, shells, and leading shares. He also delves into pivotal investment topics such as creative accounting, effective portfolio management, international markets, and the investor-broker relationship. This guide empowers readers to master the art of timing their purchases and strategically knowing when to sell, ultimately enabling them to achieve extraordinary profits from ordinary shares.

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About the author

Jim Slater is a renowned British investor, author, and entrepreneur, best known for his insightful contributions to the field of stock market investment. With a background in both civil engineering and business, Slater gained prominence in the 1990s as a successful investor and a pioneer of growth investing, emphasizing the importance of identifying promising companies with strong potential for profitability. His seminal work, "The Zulu Principle," distills his investment philosophy into practical strategies, drawing on the metaphor of the Zulu tribe's ability to thrive despite adversity. As a prominent figure in the investment community, Slater's principles have influenced countless investors, blending analytical rigor with a deep understanding of market dynamics.

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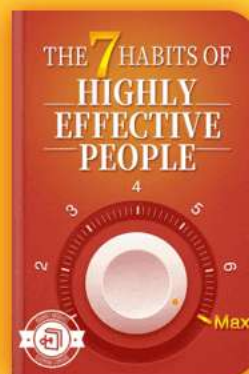
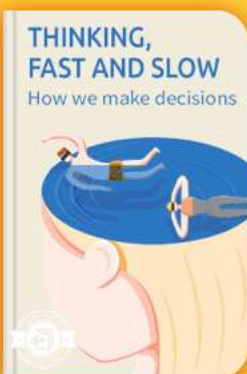


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Chapter 1 Summary : 1. Your Approach to Investment



Section	Summary
Your Approach to Investment	The book targets those seeking higher returns through effort, providing a tested approach that can outperform professionals without guaranteeing quick riches.
Aim to Beat the Institutions	Individual investors can compete with professionals due to fewer constraints, broader access to small companies, and the ability to manage smaller portfolios effectively.
Investment Clubs	Investment clubs are beneficial for collaboration, knowledge sharing, accountability, and cost-sharing among investors.
The Zulu Principle	This principle encourages deep specialization in a niche area, particularly growth shares, to enhance investment insights and expertise.
Reading About Investment	Aspiring investors should focus on American literature for valuable strategies and knowledge to build a strong foundation before investing.
Company REFS	Company REFS is a valuable tool that provides essential financial data to assist private investors in making informed decisions.
Summary	Private investors can leverage their advantages through specialization, club memberships, extensive reading, and using tools like Company REFS to enhance investment success.

Your Approach to Investment

Investment can often contradict conventional wisdom. This

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book targets those interested in pursuing higher returns than the average passive investments, dedicating time and effort to achieve extraordinary results. While it doesn't promise quick riches, it provides a tested investment approach that can outperform professional investors and deliver both financial success and enjoyment.

Aim to Beat the Institutions

1.

Competition Landscape

: Contrary to popular belief, individual investors can successfully compete against professional fund managers who lack rigorous theoretical training.

2.

Cost Factors

: All investors face dealing costs, while institutional performance is hampered by management charges—leading to many fund managers underperforming the market.

3.

Investment Universe

: Small private investors often have access to a broader range of smaller companies overlooked by institutions, allowing the potential for higher returns.

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4.

Impact of Small Portfolios

: Private investors can manage fewer stocks effectively, focusing on quality over quantity, leading to better investment outcomes.

5.

Circle of Competence

: Individual investors can leverage their unique skills or knowledge in a few companies, enhancing their decision-making ability.

Investment Clubs

Investment clubs serve as valuable resources, fostering collaboration and shared expertise. They allow individuals to pool knowledge, provide accountability, and share costs for investment resources.

The Zulu Principle

The Zulu Principle emphasizes deep specialization in investment. By focusing on a narrow subject or sector, investors can gain significant insights and become experts. Concentrating on growth shares is particularly advised for

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private investors due to their greater potential for reward.

Reading About Investment

Aspiring investors must educate themselves through books, particularly American literature on investment strategies, as there are limited British resources. Recommended readings include key primers to build foundational knowledge before investing.

Company REFS

Company REFS is a comprehensive investment tool that provides crucial financial statistics and company data, designed to aid active private investors in making informed decisions.

Summary

1.

Advantages of Private Investors

: They can focus investments in smaller companies, manage a tighter portfolio, and utilize specialized knowledge effectively.

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2.

Investment Clubs

: Joining clubs can broaden expertise and provide collective support for private investors.

3.

Specialization

: The Zulu Principle advocates narrowing focus to grow investment expertise, particularly in growth shares.

4.

Reading

: Aspiring investors should read extensively, especially recommended primers to understand key investment concepts.

5.

Company REFS

: This service offers essential statistics for informed investment decisions, aiding private investors effectively.

6.

Self-Contained Book

: This text presents updated insights on growth shares, incorporating lessons from The Zulu Principle for comprehensive learning.

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Example

Key Point: Maximize Your Investment Potential

Example: By concentrating on a specific industry, such as renewable energy, you can research trends, follow relevant news, and deeply understand the market dynamics. This specialized focus allows you to identify promising small companies that may be overlooked by larger institutional investors, maximizing your chances of high returns.

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Critical Thinking

Key Point:Challenging Conventional Investment Wisdom

Critical Interpretation:Jim Slater argues that individual investors can surpass the performance of institutional managers, a claim that requires scrutiny. While his emphasis on specialization and focused investment strategies could lead to higher returns, one must consider that this perspective overlooks the complex nature of market dynamics where institutional investors have vast resources and analytical tools. Additionally, behavioral finance suggests that individual investors may fall victim to biases that inhibit their decision-making. Therefore, while it is essential to recognize the potential advantages of individual investing, one should also critically examine whether the proposed strategies can consistently outperform established institutional approaches, as explored in works like "Market Wizards" by Jack D. Schwager, which highlight both the successes and limitations of individual traders.

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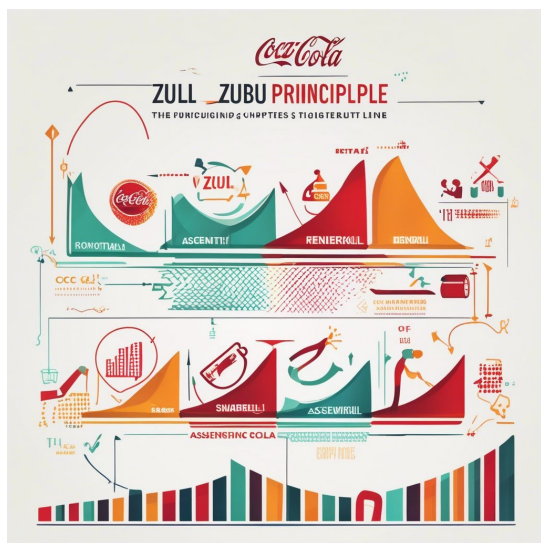


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Chapter 2 Summary : 2. Why Growth Shares?



Section	Description
Title	Why Growth Shares?
Main Approaches to Investment	Three primary investment methods: Growth Shares, Asset Situations, and Technical Analysis.
Growth Shares	Invest in companies with strong growth potential and benefits from compounded earnings growth.
Asset Situations	Focus on companies with undervalued share prices relative to their net asset value.
Technical Analysis	Trade based on price movements and chart patterns without considering financial fundamentals.
The Case for Growth Shares	Investing provides immediate gains and long-term compounded earnings with fewer tax implications.
Notable Examples	Coca-Cola and Anne Scheiber exemplify the potential gains from investment in growth shares.
UK Growth Examples	Companies like Rentokil and Racal showcase significant growth opportunities in the UK market.
Long-Term Gains from Growth Shares	Stories like Coca-Cola and Anne Scheiber illustrate the immense profit potential with disciplined strategies.
Market Fluctuations and Investment Strategies	Long-term investment in quality growth shares is preferred over market timing due to impracticality of predictions.
Importance of Selection Over Timing	Choosing the right shares leads to better returns than attempting to time market entries and exits.
Summary	1. Focus on growth shares for expertise. 2. Proper selections yield capital gains due to compounding. 3. Establish a margin of safety with low PERs.

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Section	Description
	4. Running profits is a sound, tax-efficient strategy. 5. Selection is critical; don't worry about market timing.

2. Why Growth Shares?

The Main Approaches to Investment

There are various investment methods, each with its strengths. It is advisable for private investors to concentrate on one approach to build expertise. The three primary investment approaches are:

1.

Growth Shares

: Focus on companies with strong growth prospects, leveraging the compounding effect of increasing earnings per share (EPS) annually.

2.

Asset Situations

: Invest in companies whose share prices are undervalued compared to their net asset value or net current asset value.

3.

Technical Analysis

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: Trade shares based on price movements and chart patterns, without regard to the underlying financial fundamentals. While growth and value investments are often contrasted, the author categorizes himself as a growth investor who seeks value within growth shares. He assesses value differently by considering shares with lower price-earnings ratios (PER) relative to their growth rates as more appealing.

The Case for Growth Shares

Investing in growth shares offers a double benefit: immediate gains when value discrepancies are corrected and long-term benefits through compounded earnings growth. Growth shares also usually incur fewer tax liabilities compared to asset situations, which can be subject to immediate capital gains tax upon selling.

Notable Examples

-

Coca-Cola

: From its launch in 1919, despite market fluctuations, it grew significantly, turning an initial \$40 investment into over \$4 million by 1996.

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-

Anne Scheiber

: A former IRS employee, her initial \$5,000 investment in growth stocks yielded \$22 million by her death, emphasizing the importance of compounding.

UK Growth Examples

Despite the smaller UK market, companies like Rentokil and Racal have demonstrated substantial growth, with significant returns over time.

Long-Term Gains from Growth Shares

The narratives of Coca-Cola and Anne Scheiber underscore the vast potential of investing in growth shares. With disciplined investment strategies, particularly in leading companies, the potential for profit can be immense.

Market Fluctuations and Investment Strategies

Predicting stock market movements is impractical. Historical data shows that long-term investment in quality growth shares generally outperforms market timing.

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Importance of Selection Over Timing

A study contrasted two investors; the one focusing on market timing saw lower returns than one consistently invested in the best growth sectors. This shows selecting the right shares is crucial over trying to time the market. Since 1919, the UK stock market has outperformed inflation significantly owing to the right growth shares.

Summary

1. Focus on growth shares to develop expertise in investment.
2. Proper selections can yield considerable capital gains due to compounding.
3. Establish a margin of safety by buying growth shares with low PERs against their growth rates.
4. Running profits is generally a sound and tax-efficient strategy.
5. Invest specifically rather than worrying about the overall market; selection is more critical than timing.

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Example

Key Point: Understanding the compounding effect of growth shares can lead to significant investment returns.

Example: Imagine you decided to invest in a promising tech startup instead of trying to time the market. Over the years, as the company innovated and expanded, your initial investment grew exponentially, allowing you to experience the thrilling journey of wealth accumulation through the power of compounding. You witness each quarterly report revealing an increase in earnings per share, reaffirming your decision and showcasing how focusing on growth shares can secure your financial future.

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Chapter 3 Summary : 3. What is a Growth Share?

Section	Summary
What is a Growth Share?	Growth shares are stocks from companies that show the ability for above-average earnings per share (EPS) growth, often characterized by organic growth and resilience to economic fluctuations.
The Right Sectors	Growth shares are typically not found in cyclical sectors (like construction and manufacturing), but in areas like Pharmaceuticals, Healthcare, and Media where innovation drives growth.
Competitive Advantage	Growth companies often have competitive advantages such as patents or strong brands that help maintain profitability; focus should start on financial metrics such as EPS growth.
Management	The effectiveness of management, particularly CEOs, is crucial for growth potential but is difficult to evaluate; initial analysis should focus on numerical financial data.
Earnings per Share Growth	Stable EPS growth is essential in identifying solid growth stocks, with a benchmark of 15% growth rate considered ideal for profitability.
Company REFS' Definition	The REFS criteria classify growth shares based on consecutive EPS growth and consistent profitability, ensuring the identification of viable investment opportunities.
Summary	1. Growth companies consistently improve EPS. 2. Most growth shares come from innovative sectors. 3. Cyclical businesses rarely achieve strong growth. 4. Competitive advantages are crucial. 5. Retail growth depends on expansion capacity. 6. Management quality is secondary to financial metrics. 7. Aim for at least 15% EPS growth. 8. REFS defines qualifications for growth stocks. 9. Only genuine growth companies are eligible for PEG factors.

3. What is a Growth Share?

Growth shares refer to stocks of companies that exhibit the capacity for above-average growth in earnings per share (EPS) consistently over the years. The hallmark of exceptional growth companies is their ability to generate

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organic growth internally, distinguishing them from more cyclically prone businesses. While economic conditions, particularly interest rates, influence performance, growth shares tend to be less affected by short-term economic fluctuations.

The Right Sectors

Growth shares are seldom found in highly cyclical sectors such as construction and manufacturing, where companies are susceptible to severe economic downturns. Favorable sectors for identifying growth stocks include Pharmaceuticals, Healthcare, and Media, where innovation and market trends drive consistent growth. Retailers can also exhibit growth potential if they replicate successful formulas across locations, although they must be cautious of market saturation.

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Chapter 4 Summary : 4. Price-Earnings Growth Factors

Section	Key Points
Overview of PER and PEG	The Price-Earnings Ratio (PER) indicates investor willingness to pay for growth, while the Price-Earnings Growth (PEG) links PER to expected earnings per share (EPS) growth.
Understanding PEG Values	A PEG of 1.0 indicates balance; above 1.0 suggests unattractiveness, while below 1.0 warrants further investigation. The average PEG in early 1996 was approximately 1.5, signaling a potentially overpriced market.
Application of PEG	Lower PEGs imply safety and lower risk in growth companies, with significant value appreciation occurring due to PER status changes rather than just EPS growth. Ideal PEG conditions are PERs of 12-20 with 15%-25% EPS growth rates.
Comparative Analysis with PEG	For meaningful company comparisons, PEG calculations must use consistent data over the same timeframe, similar to comparing milestones of children of the same age.
Forecasting and Validating Estimates	Forecast accuracy is vital; investors should analyze reports, commentary, and industry trends. Consensus forecasts from brokers enhance reliability, especially with low variance.
Key Insights	PEG relates PER to future growth effectively. Average PEG of 1.5 suggests potential overvaluation. Low PEGs indicate safety and value prospects. Consistent data periods are necessary for comparisons. Broker predictions should be verified for consensus reliability.
Conclusion	The PEG metric aids in identifying valuable growth shares while minimizing EPS forecasting risks. A systematic approach utilizing rolling twelve-month data and critical assessment of broker estimates enhances stock market navigation.

Price-Earnings Growth Factors

Overview of PER and PEG

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The Price-Earnings Ratio (PER) serves as a measure of how much investors are willing to pay for future growth, while the Price-Earnings Growth (PEG) factor offers a more insightful analysis by relating the PER to expected earnings per share (EPS) growth. The PEG is calculated by dividing the prospective PER by the anticipated growth rate in EPS.

Understanding PEG Values

A PEG of 1.0 indicates a balance of PER and growth rate, while values above 1.0 suggest unattractiveness. A PEG below 1.0 is generally worth deeper investigation. As of early 1996, the average PEG was around 1.5, indicating a potentially overpriced market.

Application of PEG

Lower PEGs suggest greater potential for safety and lower risk, especially in early-stage growth companies. Shares with low PEGs often see their value appreciate significantly, primarily due to status changes in PER, rather than just EPS growth. Ideal conditions for low PEGs occur with PERs of 12-20 and EPS growth rates between 15%-25%.

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Comparative Analysis with PEG

To make meaningful comparisons among companies, data used to calculate PEG must be consistent across the same timeframe. This is analogous to comparing babies' milestones only when they are of the same age. REFS recommends using rolling twelve months ahead statistics for calculating PERs and EPS growth which provide an accurate and dynamic reflection of a company's potential.

Forecasting and Validating Estimates

Accuracy in forecasting is critical. Investors are advised to scrutinize yearly reports, chairman commentary, and industry trends to gauge future performance. Consensus forecasts from brokers add an additional layer of reliability, especially when there is a consensus from multiple brokers with low variances in their predictions.

Key Insights

1. PEG provides a meaningful relationship between PER and future growth.
2. The average PEG around 1.5 indicates potential

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overvaluation.

3. Low PEGs indicate better safety and value opportunities.
4. Comparisons across companies need to utilize consistent data periods.
5. Always verify broker predictions and look for consensus reliability.

Conclusion

Investors can harness the PEG metric to identify valuable growth shares while mitigating inherent risks associated with EPS forecasts. By adopting a systematic approach, utilizing rolling twelve-month data, and remaining critical of broker estimates, one can navigate the stock market more effectively.

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Critical Thinking

Key Point: The Importance of PEG as a Valuation Metric

Critical Interpretation: While the PEG ratio offers insightful correlations between price-earnings ratios and growth, its effectiveness relies heavily on accurate forecasts and consistent data, raising questions about the validity of its predictive power. Investors should remain wary of placing undue confidence in any singular metric, including PEG, as markets are influenced by a multitude of unpredictable factors beyond mere numbers. The notion that a lower PEG always translates to a better investment can be misleading, as emphasized by critiques of simplistic valuation frameworks in sources like "Valuation: Measuring and Managing the Value of Companies" by McKinsey & Company. Thus, while PEG contributes to investment analysis, it should be integrated into a broader strategy that considers comprehensive market dynamics.

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Chapter 5 Summary : 5. PEGs at Work

PEGs at Work

PEG Tests Overview

The effectiveness of low PEG ratios as an investment measure has been demonstrated through eight six-month periods from 30 September 1995 to 30 April 1996. Stocks with PEGs below 0.6 outperformed the market, averaging a 22.9% increase versus the market's 8.9%. This indicates low PEG stocks rose 2.5 times more than the market.

Investment Timing and Approaches

Using six-month periods allows for the market to reflect changes in the price-earnings ratio (PER) from company performance results. While some shares from initial tests may remain favorable, fledgling index shares are excluded due to being primarily supported by single broker estimates and their relatively low marketability. The ideal candidates for low PEG investments include those in the FT-SE

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SmallCap index and attractive non-index companies.

Case Study: JJB Sports

JJB Sports serves as a successful example, experiencing significant growth post-IPO and continuing positive sales trends, indicating strong prospects even after initial gains.

Performance of Low PEG Stocks in Major Indices

Low PEG stocks have also excelled in the FT-SE 100 and Mid-250 indices. In 13 tests, non-cyclicals with PEGs of 0.75 or lower significantly outperformed these indices. Market earnings growth expectations were modest, making low PEG stocks more likely to outperform.

Observations during Market Fluctuations

Periods of underperformance for low PEG stocks compared to the market happen, particularly near bear market declines. Investors may panic and sell high-performing stocks; thus, low PEGs may experience short-term dips.

Avoiding High PEG Stocks

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Investors should steer clear of stocks with high PERs, as exceptional growth rates often regress over time due to market forces and competition. High PER stocks, like Hanson and Xerox, have historically experienced declines as growth rates normalize.

Investment Recommendations

Target growth shares with a reasonable PER of around 15 for a 30% growth rate rather than overvalued ones with 50% growth expectations. High multiples are more vulnerable to market corrections.

Summary

1. Low PEG stocks significantly outperformed the market during 1995/6, with PEGs under 0.6 averaging a 23% increase.
2. The Fledgling index is not a reliable source for PEG assessment due to its mix of new and declining companies and low marketability.
3. Stocks with PERs above 20 should be avoided, as they are less resilient in bear markets and likely to face regression in growth rates.

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Critical Thinking

Key Point: The effectiveness of PEG ratios as advantageous investment measures is not universally applicable.

Critical Interpretation: While Jim Slater presents a compelling argument for the efficacy of low PEG ratios in outperforming the market, this viewpoint warrants scrutiny. The historical performance data he references from 1995 to 1996 may not hold in today's market context, particularly given the volatility and different economic factors present today. Moreover, market conditions fluctuate, allowing for varying performance by different stocks beyond just PEG measurements. Academic critiques, such as those in "Financial Analysts Journal", often highlight that relying solely on such metrics can lead to misguided investment strategies, neglecting the qualitative aspects of a firm's performance and market conditions that can drastically influence results.

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Chapter 6 Summary : 6. Cash Flow

6. Cash Flow

Importance of Cash Flow in Investments

Investment decisions based on cash flow can be crucial. Companies demonstrating strong cash flow are generally appealing, while those unable to transform profits into cash are concerning. Growth shares with solid cash balances and high cash flow per share relative to earnings per share (EPS) are more reassuring.

Cash Flow versus Earnings

Cash flow is more reliable than earnings, making it a vital metric for evaluating companies. Not all earnings are equal—some merely mask actual performance. Genuine surplus cash can lead to dividends or expansion, contrasting with companies that rely heavily on reinvesting profits just to maintain operations.

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Understanding Cash Flow Statements

The Cash Flow Statement breaks down cash flow into categories, reconciling it with operating profits and providing insights into company performance through cash inflows from operating activities and shifts in working capital.

Calculating Price-to-Cash Flow (PCF)

The PCF ratio is determined by dividing a company's market capitalization by its cash flow. While it indicates share value concerning cash flow, it does not necessarily reflect strong cash flow.

Advantages of Strong Cash Flow

Strong cash flow facilitates loan repayments, future capital expenditure, dividends, and share buybacks. It also reveals a

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Chapter 7 Summary : 7. Relative Strength

7. Relative Strength

Having substantially narrowed the potential universe of shares with the PEG sieve, and used cash flow to provide some peace of mind, we can now move on to the final stage of the selection process to discover the real high flyers. My third sieve is the relative strength of a share price against the market for both the previous month and the previous year. Although it is tempting to think that shares which have underperformed recently have the most potential for growth, in practice the best-performing shares tend to be those that have already started behaving like winners by outperforming the market. I now regard relative strength in the previous twelve months as such an important measure that all of the tables in REFS include a column for it. In addition, we have introduced two special sets of relative strength tables covering each of the indices.

Research on Relative Strength

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In February 1996, Barrons, an American investment newspaper, highlighted a book by Jim O'Shaughnessy that analyzed 43 years of Standard & Poor's data. This research indicated that the best winning strategies for buying stocks all incorporated some aspect of relative strength, determined by the stock's performance relative to others over the previous year.

Calculating Relative Strength

To determine relative strength, compare a stock's price increase to the market's change. For example:

- If a stock starts at 100p, the market at 1800p rises by 18 points (1%), but the stock only rises by 1p, its relative strength is neutral. If it rises more than 1p, it's positive.
- Conversely, if a stock falls to 80p while the market rises 20%, its relative strength is negative.

A share showing positive relative strength is outperforming the market, whereas a share with negative relative strength is faltering. REFS provides ready calculations of relative strength for its subscribers.

The Third Sieve Criteria

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For effective filtering, two requirements of the third sieve are:

1. Positive relative strength for the previous month (even 0.1% qualifies).
2. Positive relative strength for the previous twelve months, greater than the one-month figure.

Performance of the Relative Strength Sieve

In a bull market, utilizing relative strength works exceptionally well, identifying companies that act like winners. It significantly narrows potential investments—reducing the share universe from about 25 to between 9 on average—and yields impressive average returns of 34.5%, compared to 21.6% from cash flow and low PEG tests, and just 8.9% in overall market growth.

Outcomes and Past Performance

Evidence from various investment strategies, including those from my son's fund, supports the effectiveness of this sieve. In a notable instance, a portfolio managed under the low PEG, strong cash flow, and high relative strength criteria

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achieved a gain of 36.9%, outperforming the market.

Considerations in Bear Markets

While the relative strength sieve excels in bull markets, its effectiveness may diminish in bear markets due to investor panic leading to indiscriminate selling.

Technical Analysis Insights

I have become a proponent of technical analysis, especially charts that reflect price history. Key points about technical analysis include:

- Charts provide a visual representation of share price performance.
- Following trends is crucial; cut losses and let profits run.
- Market timing can be influenced by historical patterns, though not down to specific dates.

Summary of Key Points

1. Good relative strength over the previous twelve months was commonly present in the ten best winning strategies examined.

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2. REFS displays relative strength in share price charts, with detailed figures for varying timeframes.
3. Recommended third sieve criteria focus on positive relative strength over the past month and a year.
4. Compromises may accommodate mildly negative one-month relative strength if three-month strength remains positive.
5. The relative strength sieve's efficacy might wane in bear markets.
6. Technical analysis provides various advantages and insights discussed previously.

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Chapter 8 Summary : 8. Management

8. Management

Importance of Management Assessment

Investors must ensure that company management is competent and honest. However, assessing management from brief meetings or reports can be challenging, particularly for lesser-known companies or those in early stages.

Evaluating Management

Key metrics such as established companies' earnings per share (EPS) growth can highlight effective management. Observations during factory visits and interactions with employees provide insight into management's true capabilities.

Ways of Checking Management

1.

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Annual General Meetings (AGMs)

: Attendance can reveal the organization and responsiveness of management.

2.

Annual Reports

: Overly elaborate reports may indicate management issues; thorough readings are essential.

3.

Board Composition

: Assess the quality and relevance of directors.

4.

CEO's External Activities

: Excessive public engagement may indicate mismanagement of focus.

5.

Executives' Lifestyle

: Flashy lifestyles may reflect poor management priorities.

6.

Profit Forecasts

: Failing to meet forecasts can signal trouble.

7.

Advisors' Caliber

: Strong backing reflects management quality.

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Chief Executive Officer Changes

New CEOs can dramatically change company direction, particularly if they have a solid track record. It's crucial to assess their previous performance and be cautious about overly positive retirement announcements.

Directors' Share Dealings

Directors owning substantial shares signal confidence in their company. Monitoring transactions, particularly clusters of purchases, can inform investment decisions. The context of share dealings is vital, as is understanding trading around close periods.

Summary

1. EPS growth is key for mature companies; for others, limited data makes it harder to judge.
2. Build a comprehensive picture through AGMs, reports, board structure, and employee attitudes.
3. New CEOs can significantly impact a company; assess their past success.
4. Directors' trading activities provide investment insights,

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especially with high volumes of purchases from multiple directors.

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Example

Key Point: Assessing the competence and integrity of a company's management is essential for successful investment.

Example: Imagine you are considering investing in a lesser-known startup. You delve into their annual report, noting its thoroughness and clarity. During the Annual General Meeting, you observe the CEO's ability to engage the audience and respond effectively to tough questions, indicating strong leadership. You also check stock purchase records of the board members and find multiple directors are increasing their stakes, which boosts your confidence in their commitment. This comprehensive evaluation brings you peace of mind as you decide to invest, illustrating the significance of meticulously assessing management for your investment decisions.

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Critical Thinking

Key Point: The complexity of assessing management effectiveness in companies, particularly lesser-known ones.

Critical Interpretation: Slater emphasizes the importance of evaluating management through various indicators like EPS growth and attendance at AGMs. This multifaceted approach underscores a key point that investors must look beyond superficial assessments to gauge management effectiveness reliably. However, it's crucial to consider that reliance on such indicators may lead to misinterpretations, as not all successful metrics guarantee sound management practices. For instance, studies such as those from the Harvard Business Review reveal that management competence can often be oversimplified, calling into question the adequacy of Slater's recommendations. Investors should remain cautious about assuming that management indicators always correlate with performance, as numerous factors can skew these assessments.

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Chapter 9 Summary : 9. Competitive Advantage

9. Competitive Advantage

Competitive advantage is essential for a company's future earnings and reliable profit forecasts. Known as a "business franchise," competitive advantage can be established through various means:

Types of Competitive Advantage

-

Top-class Brand Names:

Brands such as Coca-Cola and Sony exemplify businesses with strong recognition.

-

Patents or Copyrights:

Companies like Glaxo Wellcome benefit from patented products.

-

Legal Monopolies:

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Certain industries, like water and electricity providers, are protected yet regulated.

-

Industry Dominance:

Leaders like Microsoft and Disney showcase dominance in their fields.

-

Niche Market Position:

Companies like Druck Holdings excel in specialized markets.

Investment in companies with competitive advantages is preferable, as they are less vulnerable to competition.

Companies lacking a franchise, such as small restaurants or general contractors, present a higher risk due to ease of market entry and high failure rates.

Choosing the Right Sector

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Chapter 10 Summary : 10. Strong Financial Position

10. Strong Financial Position

Understanding a company's financial health goes beyond cash flow per share. Important indicators include the level of gearing, cash balances, and liquidity, which signal a company's ability to endure challenging times.

The Gearing Ratio

The gearing ratio measures a company's borrowings.

-

Net Gearing

is calculated by subtracting cash and liquid assets from overall borrowings, expressed as a percentage of shareholders' funds, including intangibles like patents and goodwill.

-

Gross Gearing

reflects total borrowings without deductions for cash, also

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shown as a percentage of shareholders' funds.

A gearing above 50% can be concerning, particularly if a significant portion consists of short-term borrowings.

Companies with high gearing are more likely to be fully invested, making them vulnerable to economic fluctuations and crises. Sector comparisons matter, as companies owning property often show higher gearing than those preferring rentals.

Though higher gearing may deter some investors, strong cash flow and decreasing gearing can mitigate risks. Historical figures should be viewed in light of ongoing performance, as demonstrated by Frank Usher Holdings plc, where initially high gearing later proved manageable due to strong cash flow projections.

Four Investment Tools

1.

Quick Ratio

: Measures a company's ability to cover current liabilities with readily liquidatable assets, excluding stock. A quick ratio over one is advisable, although retailers might operate on lower ratios.

2.

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Current Ratio

: Similar to the quick ratio but includes stock and work-in-progress. A ratio of 2.00 or above is a positive indicator, while figures under 1.25 may signal financial weakness, especially in non-retail industries.

3.

Interest Cover

: Indicates the capacity to pay interest on borrowings from profits. A low interest cover is a warning sign.

4.

Dividend Cover

: Reflects how well earnings support dividends. A cover of two to three times is comforting, with low cover posing risks of dividend cuts.

Summary

1. Gearing over 50% raises concerns, but high cash flow can justify higher levels.
2. The Quick Ratio assesses how well liquid assets cover current liabilities, ideally over one.
3. The Current Ratio, being typically higher, should be at least 2.00 for financial strength.
4. Interest cover reflects the ability to pay interest, with low

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levels signaling danger.

5. Dividend cover measures earnings relative to dividends, with lower covers indicating potential issues.

6. Companies with strong cash flow and balance sheets are preferred to those with high debt and weak financial health.

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Chapter 11 Summary : 11. Accelerating Earnings Per Share

11. Accelerating Earnings Per Share

Overview

An increase in a company's EPS (Earnings Per Share) growth rate can present a valuable opportunity to buy shares at a lower price, as market prices usually take time to adjust to new forecasts.

Example

When a company's EPS forecast shifts from a 15% to a 20% growth rate, the share price may initially rise due to the increased EPS but then further increase as the PER (Price Earnings Ratio) adjusts. This difference between the immediate increase from EPS and the overall price change emphasizes the benefits of acting quickly after positive earnings announcements.

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Identifying Opportunities

To detect potential acceleration in EPS growth, investors should closely review company results and the REFS (Research Estimates Financial Services) data. Charts indicating EPS trends and brokers' consensus forecasts provide essential insights into upcoming growth opportunities.

Cloning Potential

Companies that can replicate a successful business model—often referred to as "cloning"—such as cafe chains or retail stores, tend to experience sharply accelerating EPS. Investing in these companies works best after their business model has proven successful and is ready for expansion.

Investment Timing

Timing is crucial; monitoring monthly updates in brokers' forecasts helps identify companies with emerging growth trajectories. Investors should also be mindful of like-for-like sales performance, as declines may indicate increased

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competition and potential future struggles.

Key Considerations

1. High growth in EPS often takes time to be reflected in the stock price.
2. Graphs and reports in REFS can track EPS growth trends.
3. Analyze broker consensus forecasts for insights on growth potential.
4. Seek companies with a successful, replicable business model.
5. Pay attention to like-for-like sales, which indicate the health of existing operations.
6. Avoid companies with high valuation multiples and no proven profitability.

Action Points

Investors should act quickly following good news announcements, but also verify underlying growth metrics and remain cautious of overvalued growth prospects.

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Chapter 12 Summary : 12. Other Investment Criteria

Other Investment Criteria

Small Market Capitalisation

- Companies with market caps between £30m and £250m often outperform larger firms.
- Small companies can struggle with marketability, especially for institutional investors.
- Private investors should consider market-maker spreads and liquidity when trading small stocks.

AIM (Alternative Investment Market)

- AIM features around 200 companies as of mid-1996, but many lack marketability.
- Investors should only engage with AIM stocks if they have specific insights on potential.

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Fledgling Index

- Comprises about 700 companies with market caps up to £100m, often containing struggling businesses.
- Investors should check for broker forecasts and marketability when considering these companies.

FT-SE SmallCap Index

- Contains companies with stronger growth prospects compared to fledgling firms.
- A hunting ground for attractive PEG ratios, these firms often have significant growth left.

Mid-250 Index

- Comprises 250 firms with varied market caps, showing decent performance but fewer growth opportunities.

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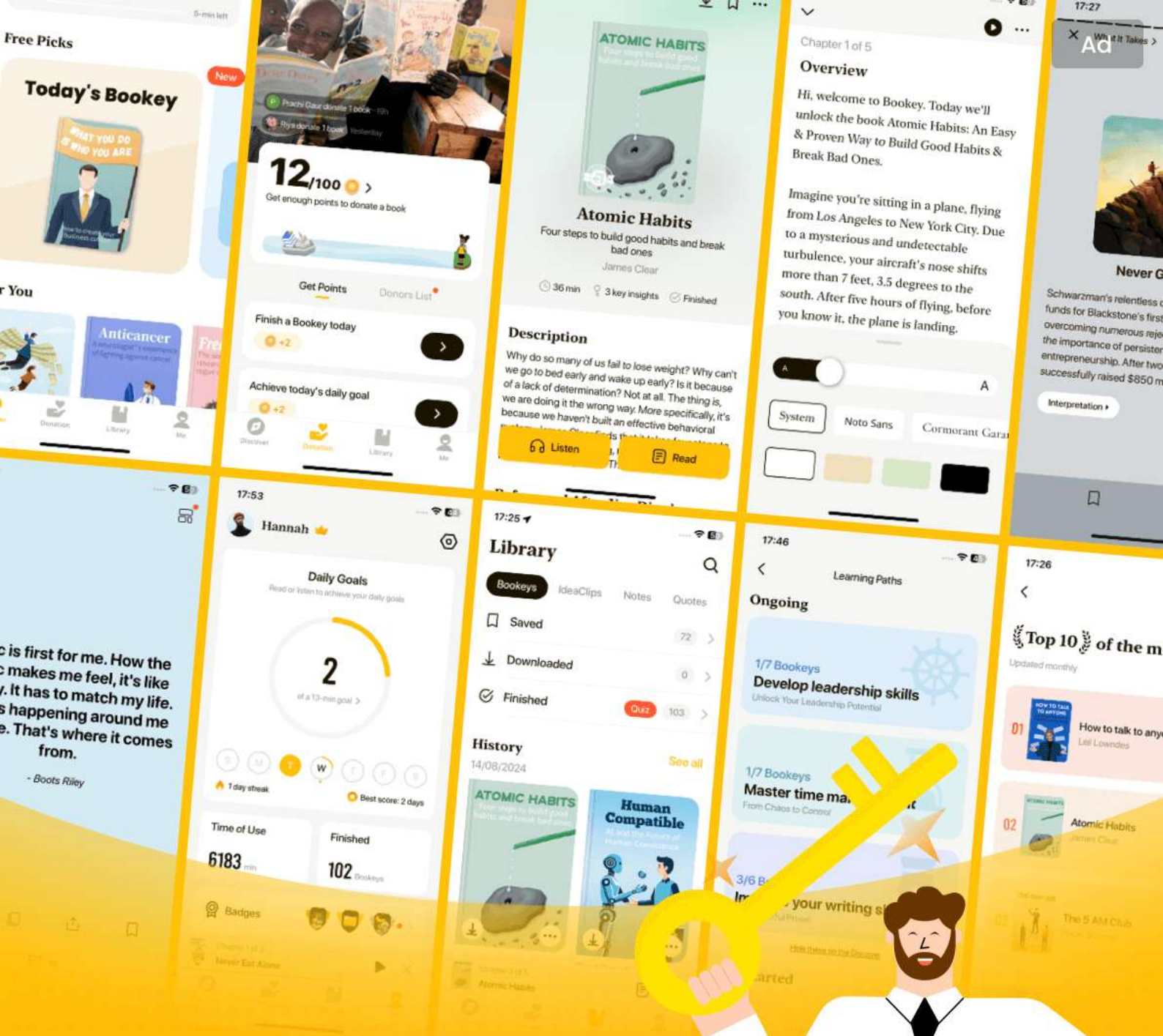
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Chapter 13 Summary : 13. Your Stockbroker and You

13. Your Stockbroker and You

Choosing a Broker

An important decision for private investors is selecting between an execution-only broker or a traditional broker with comprehensive services. Execution-only brokers like Fidelity and Sharelink save on commission but offer limited support.

Execution-Only Brokers

-

Fidelity

: Offers valuable market and company information with lower commissions (about 50% of traditional brokers). They expect investors to make their own decisions.

-

Sharelink

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: Comparable charges to Fidelity, provides the Sharefinder service with performance summaries, buy/sell guides, and company reports, for modest additional fees.

- Other notable brokers include City Deal Services and YorkShare, which offer competitive rates and additional services.

Traditional Brokers

Commissions range from 1.65% to under 0.3% based on transaction size and client importance. A good broker can provide valuable insights and should be attentive to investors' needs irrespective of account size.

Researching Companies Efficiently

REFS offers a filtering mechanism to help focus on companies worth pursuing, saving time and effort. Investors should avoid companies with poor cash flow and high PEG ratios.

Information Gathering

Minimum required information for research includes:

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- Two annual and interim reports
- Recent press cuttings

A more thorough approach involves three annual reports and twelve months of press cuttings.

Communication with Companies

Directly contacting company secretaries via fax for reports can be effective, as they are often responsive. Additionally, gather multiple broker opinions by asking for circulars on interested companies.

Maintaining Company Files

Creating and updating a file for each company of interest is beneficial for future reference. Comprehensive detail regarding REFS entries, director dealings, and sector position should be assessed before making investment decisions.

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Chapter 14 Summary : 14. Putting it All Together

14. Putting it All Together

The chapter outlines investment criteria for selecting growth shares, grouping them into three categories: mandatory, highly desirable, and bonus factors.

A. Mandatory Criteria

1.

PEG Ratio

: A price/earnings growth (PEG) ratio less than 1.0 is crucial, indicating a company's growth potential over four years.

2.

Prospective PER

: A prospective price/earnings ratio (PER) not exceeding 20, ideally between 10-20 with a growth rate of 15-30%.

3.

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Strong Cash Flow

: Cash flow per share should exceed earnings per share (EPS), ensuring conversion of profits into cash.

4.

Low Gearing or Positive Cash

: Gearing should be below 50%, although a tolerance up to 75% is possible with strong cash flow.

5.

High Relative Strength

: The relative share price strength should be positive over both the last month and the previous twelve months.

6.

Competitive Advantage

: Companies should exhibit a competitive edge, evidenced by high return on capital employed (ROCE) and good operating margins.

7.

Directors' Dealings

: No major selling from directors is mandatory; buying is desirable.

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B. Highly Desirable Criteria

1.

Accelerating EPS

: Consistent growth in EPS is a strong indicator.

2.

Directors Buying

: A cluster of directors purchasing shares is viewed positively.

3.

Market Capitalisation

: A preference for companies with market caps between £30 million to £250 million.

4.

Dividend Yield

: Preference for companies that pay dividends.

C. Bonus Factors

1.

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Low Price-to-Sales Ratio (PSR)

: A low PSR indicates good value in growth shares.

2.

Something New

: Changes like new executives, products, or acquisitions can positively impact future EPS.

3.

Low Price-to-Research Ratio (PRR)

: Applicable for companies with significant R&D expenditure.

4.

Reasonable Asset Position

: Important if the company's gearing is high.

Using the Sieve Approach

The chapter emphasizes the importance of applying these criteria through a systematic sieving process, evaluating shares based on practical examples to refine investment strategies. It cites specific companies to illustrate how these criteria can lead to identifying attractive investment

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opportunities.

Summary of Criteria for Selecting Growth Shares

The recommended criteria for selecting growth shares to outperform the market emphasize a careful balance of mandatory requirements with the flexibility to compromise on less critical factors. The successful application of these criteria may significantly enhance investment performance over time.

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Example

Key Point: Understanding and applying investment criteria for selecting growth shares can lead to greater financial success.

Example: Imagine you're looking to invest in tech stocks. You first check their PEG ratio; if it's under 1.0, excitement builds, as this could mean substantial growth potential. Next, you assess the prospective PER. If it's around 15, you feel confident, especially with a 20% growth forecast. Strong cash flow catches your eye, too, as it means they're turning profits into actual dollars. You notice low gearing—no red flags here. The company's recent stock price strength is encouraging, and the directors haven't sold off shares. You feel your research is confirming a competitive advantage. As you refine your list, you realize adhering to these mandatory criteria helps you identify companies that not only promise growth but also present a safer investment choice. This disciplined approach to stock selection boosts your confidence in achieving solid returns.

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Critical Thinking

Key Point: The Importance of a Systematic Sieving Process in Investment Decision Making

Critical Interpretation: Jim Slater's investment criteria, while comprehensive, may not account for unpredictable market dynamics or individual investor preferences, suggesting that his perspective might have limitations. Not all successful investment strategies can strictly adhere to defined metrics like PEG ratios or cash flow; market sentiment and external factors can also greatly influence stock performance. Investors should consider augmenting Slater's philosophy with insights from authors like Howard Marks or Benjamin Graham, who emphasize adaptability and the importance of understanding broader economic contexts when evaluating investment opportunities.

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Chapter 15 Summary : 15. Portfolio Management

Portfolio Management

In this chapter, Jim Slater discusses key strategies for managing a stock portfolio effectively, reflecting on a New Year's portfolio he recommended in 1995 and its subsequent performance. The chapter emphasizes important lessons in investment to achieve better-than-average returns.

Performance Overview

Slater presents the performance of a portfolio recommended to readers. From the closing prices on June 30, 1996, the total profit was 22.4%, comparing favorably to the FT-SE All-Share index's 3.0% and the FT-SE SmallCap's 12.4%. The chapter highlights the challenges in judging individual stocks while emphasizing that investing is a game of averages and surprises.

Key Investment Principles

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1.

Diversification

: It's crucial to spread risk across various stocks.

Concentrating too heavily on a single share can lead to disappointing results.

2.

Buying Low PEG Stocks

: Stocks with low PEG (Price/Earnings to Growth ratio) often offer a margin of safety and can still appear cheap after price increases.

3.

Concentration vs. Diversification

: While notable investors like John Maynard Keynes and Warren Buffett advocate for concentrating on a few stocks, most individual investors lack the confidence to follow this approach. Slater suggests a practical number of shares to hold

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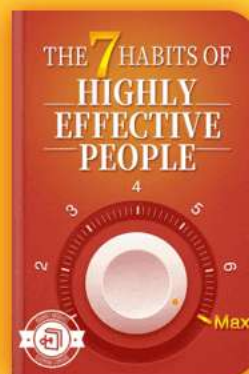
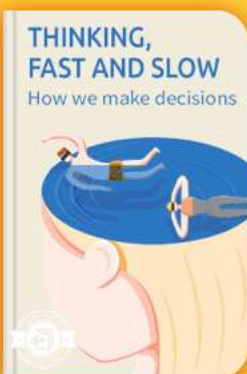


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Chapter 16 Summary : 16. Bull and Bear Markets

Bull and Bear Markets

Investors who adopt a long-term view, focusing on a margin of safety (like a low PEG), have little to worry about market fluctuations. Even during bear markets, as long as companies continue growing and EPS increases, share prices will eventually reflect that growth.

Key Investment Principles

1. Invest only 'patient money' that can be held long-term.
2. Invest systematically with a margin of safety and maintain a long-term holding period.
3. Follow Warren Buffett's advice: treat investments as finite opportunities, emphasizing careful selection.

Market Sentiment and Indicators

- The Coppock Indicator can signal when to buy; being 100%

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invested during bullish signals may be justified, while caution is advised amidst excessive optimism.

- Active investors typically keep around 75% in the market but should reduce exposure if it impacts their well-being.
- Selling shares with the highest PEGs can lead to improved portfolio safety.

Understanding Market Dynamics

- Bull markets often thrive on investor worry, as widespread concern may lead to abrupt market recoveries.
- Historical manias illustrate the influence of crowd psychology on market behavior, leading to sharp rises and falls.

Signs of a Bear Market

- Low cash levels amongst investors, with a consensus that "Cash is trash."
- High PEG averages with few stocks undervalued.
- Increasing interest rates and numerous low-quality new issues.
- A reduction in directors purchasing stocks.
- Poor market responses to good company results.

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- Over 75% of stocks performing above long-term averages, followed by a decline.

Bull vs. Bear Market Characteristics

- Bull markets tend to last longer than bear markets, which can cause significant short-term losses.
- Major differences exist between corrections in bull markets and bear markets; prolonged bearish periods bring widespread pessimism.
- A bear market begins with significant declines, followed by an oversold market, creating false recovery signals before plunging deeper.

Conclusion and Recommendations

- Maintain a portfolio review routine to identify weak stocks, enhancing both liquidity and quality.
- The first positive indication for recovery is when share prices stop dropping on bad news.
- Recognizing threat levels in markets can encourage prudent portfolio adjustments.

Summary of Key Points

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1. Invest only 'patient money' that won't be needed quickly.
2. Buy with a safety margin and hold long-term.
3. Look for signs indicating a market downturn.
4. If market conditions are distressing, adjust your investment levels, keeping a minimum of 50% of patient money invested.
5. The Coppock Indicator is a valuable tool for anticipating bull markets.

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Chapter 17 Summary : 17. Technology Stocks

Technology Stocks

Technology stocks represent a vital sector for growth investors, particularly noted for their remarkable performance in the market. The chapter explores the phenomenon of high-tech stocks, mainly from the US, and their impact on investment strategies.

The Internet Revolution

By 1996, the Internet had become a significant talking point for investors. It is described as an extensive network originating from a military communication project, designed to maintain operation after catastrophic events. With millions of users, the Internet's structure allows for decentralized communication, leading to burgeoning commercial applications and rapid growth. Despite concerns regarding valuation based on uncertain future profits, enthusiasm for technology shares is widespread.

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Five Main Classifications of Technology Stocks

1.

Leading Established Companies

: These include well-known firms like Microsoft and Glaxo Wellcome that are viable for large-scale investments.

2.

Aspiring Leaders

: Companies like Psion are in the growth phase, with attention needed on their potential and market positions.

3.

Small Profitable Companies

: Smaller firms that generate profits but have yet to prove sustained growth require cautious evaluation.

4.

Research and Concept Companies

: These firms engage in innovative research without current profits, making them difficult to value and precarious investments.

5.

Fallen Angels

: Previously successful companies facing temporary setbacks can present strong recovery opportunities.

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Investment Valuation Approaches

Valuation methods for different types of technology stocks vary significantly:

1.

Leading Companies

: Standard metrics like growth rate and competitive position are applicable.

2.

Aspiring Companies

: Additional scrutiny over industry position and liquidity is necessary.

3.

Small Companies

: Higher caution is vital due to potential hidden risks.

4.

Research/Concept Stocks

: Guidelines include avoiding high market caps, ensuring sufficient funding, and treating investments as high-risk bets.

5.

Fallen Angels

: Investors should look for signs of recovery, wait for profit warnings, and consider financial ratios like PSR and PRR.

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Guidelines for Investing

For research and concept stocks, it's advisable to:

- Avoid high market caps.
- Be cautious with companies lacking sales or profits.
- Choose companies with sufficient funding to weather financial challenges.
- Approach investments like betting on multiple outcomes.

Profit Margins and Competitive Advantages

Kenneth Fisher emphasizes the importance of profit margins and investigates factors contributing to a company's competitive edge. He stresses the need for in-depth analysis of management's credibility and market share, alongside an understanding of how R&D expenditures are classified.

Essential Reading for Investors

Investors in this sector are encouraged to consult specific resources, notably:

-

Techinvest

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: A key resource for technology stock insights.

-

Super Stocks

by Kenneth Fisher: Highly recommended for learning effective investment strategies in technology stocks and identifying undervalued opportunities.

Summary

1.

Types of Technology Stocks

: Five broad categories exist that require different valuation approaches.

2.

Investment Evaluation

: Valuation strategies must adapt based on the category, emphasizing caution, particularly with smaller or concept-based companies.

3.

R&D Financing Caution

: Investors must closely examine how companies handle R&D costs to ensure accurate assessments.

4.

Recommended Resources

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: Techinvest and Super Stocks provide indispensable guidance for serious investors in technology stocks.

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Chapter 18 Summary : 18. Cyclical Stocks

Cyclical Stocks

Cyclical stocks, though not the focus of this book, are important as all companies experience cyclical trends. These stocks are notably sensitive to economic fluctuations, significantly influenced by interest rates. They thrive when interest rates decline, boosting economic activity, but suffer during periods of rising rates. Unlike growth stocks, which may still report increased earnings even in downturns, cyclical stocks can face severe losses in economic recessions.

Investment Timing for Cyclical

When investing in cyclical, timing is critical. Historical data indicates that cyclical perform best in specific conditions:

- Best years: 1983, 1985, 1987, and 1993, with falling interest rates being a common factor.
- Successful investment appears to occur in the second or subsequent years of falling interest rates.

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- A rising sterling and a growing GDP can signal favorable conditions for cyclical.

Guidelines for Selecting Cyclical

1.

Industry Selection

: Choose industries likely to rebound.

2.

Company Selection

: Prefer larger, safer companies over smaller, riskier ones.

3.

Market Insight

: Gain insights from industry experts rather than relying solely on financial metrics.

4.

Financial Caution

: Be wary of low price multiples. as they may indicate deeper

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Chapter 19 Summary : 20. Summary

Summary of Chapter 19: The Zulu Principle

Main Thesis

The book emphasizes a systematic approach to investing, asserting that following rigorous and disciplined criteria can yield better-than-market returns without relying on mystery or magic.

A. Mandatory Requirements

1.

PEG Ratio

: Under 1.0 for large funds; under 0.75 for smaller funds.

2.

PER

: Prospective price-to-earnings ratio not exceeding 20.

3.

Cash Flow

: Strong cash flow per share that exceeds EPS for both the

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last reported year and the average of the previous five years.

4.

Gearing

: Preferably under 50% or having positive cash balances.

5.

Relative Strength

: High relative strength over the previous 12 months and the last month.

6.

Competitive Advantage

: A strong competitive edge in the market.

7.

Director Sales

: No active selling by a cluster of directors.

B. Highly Desirable Factors

1.

EPS Acceleration

: Preferably linked to the company's growth capacity.

2.

Director Insider Buying

: Presence of directors buying shares.

3.

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Market Capitalisation

: Ideally between £30m-250m.

4.

Dividend Yield

: Presence of dividend yields.

C. Bonus Factors

1.

Low Price-to-Sales Ratio (PSR)

: Attractive PSR values.

2.

Innovation

: New offerings or services.

3.

Low Price-to-Research Ratio (PRR)

: Favorable research-related valuation.

4.

Asset Position

: Reasonable asset status.

Investment Approach

Investors should view these criteria as flexible guidelines,

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allowing for minor infractions if major indicators are strong. The focus is on eliminating poor investments while highlighting potential winners.

Final Selection Process

1. Start with a broad market base and sieve down candidates using the above criteria.
2. Analyze candidates using statistical tables like REFS, ensuring all mandatory conditions are checked.
3. Investigate the competitive advantage and supporting factors that justify potential investments.

Performance Metrics

The use of a low PEG ratio has shown considerable success, with significant outperformance against market averages over several testing periods.

Portfolio Management

Investors should ideally maintain 10-15 stocks for small portfolios, adjusting based on performance metrics like PEG. When the PEG rises above 1.2, caution is warranted.

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Final Advice

Develop a personal system for investing that is adaptable and continuously refined through experience. Focus on knowledge acquisition and strategic thinking rather than market timing. Prioritize systematic approaches to create a rewarding investing experience.

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great concept !!!highly recommended!

Rahul Malviya

Beautiful App



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on, and the mind maps help reinforce wh
I've learned. Highly recommend!

Alex Walk

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Best Quotes from The Zulu Principle by Jim Slater with Page Numbers

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Chapter 1 | Quotes From Pages 20-47

1. Investment is different – there are plenty of excellent American books on investment but hardly any British ones.
2. Remember, in the kingdom of the blind the one-eyed man is king.
3. Focusing on one area can enable you to become the leading expert and allow your intellectual resources to be used to maximum advantage.
4. Private investors have three advantages that should help them beat the institutions.
5. If you have not already done so, read one of the three best primers: Beginner's Guide to Investment, How to Read the Financial Pages or Investment Made Easy.
6. There is no doubt that, as a first step, aspiring investors should read as much as possible about investment.

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7.The aim is to buy them at the bottom of the cycle and sell near the top.

8.Joining an investment club is an excellent way for private investors to improve their knowledge of investment and widen their circle of competence.

Chapter 2 | Quotes From Pages 48-67

1.I would always recommend private investors focus upon one main approach. That way they will learn more quickly and over the years become relatively expert in applying their chosen method.

2.I consider myself to be a growth investor but my technique is essentially one of seeking out value within my chosen universe of growth shares.

3.Looking for value in growth shares provides a kind of investment 'double whammy': a short-term gain as the value anomaly is corrected and a long-term benefit from the compounding of earnings growth.

4.The long-term gains of investing in growth shares can be enormous.

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- 5.The question I am most often asked at conferences is ‘What do you think is going to happen to the stock market as a whole?’ and I am always reminded of J.P. Morgan’s answer... ‘It will fluctuate my boy, it will fluctuate.’
- 6.Selection is more important than timing.

Chapter 3 | Quotes From Pages 68-88

- 1.The essence of a good growth stock is its capacity to increase EPS year after year.
- 2.Being in the right kind of sector is a critical factor in deciding whether or not a business has the capacity to become a great growth stock.
- 3.A competitive advantage is a very important investment factor.
- 4.The calibre of management is a crucial factor in deciding whether or not to buy a growth share, but it is very difficult to judge, so start with the arithmetic.
- 5.Try to find companies that are increasing EPS by at least 15% per annum.

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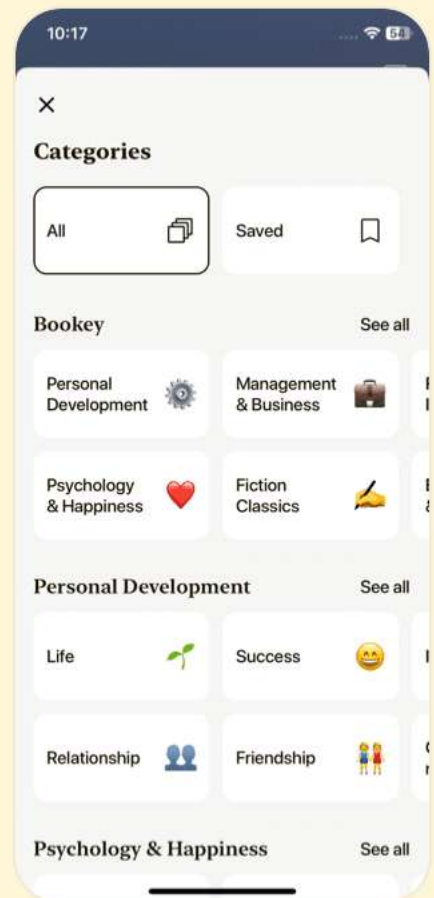
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Chapter 4 | Quotes From Pages 89-115

1. 'Forecasts are dangerous, particularly those about the future.'
2. 'The possibility of a status change that investors should constantly be seeking when investing in companies with low PEGs.'
3. 'The lower the PEG, the fewer the number of companies that will manage to get through the sieve.'
4. 'For comparisons between PEGs to be meaningful, it is crucially important that the data from which they are calculated cover exactly the same period.'
5. 'The rolling twelve months ahead basis helps to detect anomalous bargains very quickly, especially among companies with exceptional EPS growth rates.'

Chapter 5 | Quotes From Pages 116-129

1. We have been producing REFS long enough now to see how low PEGs have worked in practice as an investment measure.
2. In other words, low PEG shares rose 2.5 times as much as

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the market.

3. The ideal hunting grounds for shares with low PEGs and very attractive prospects are the FT-SE SmallCap index and non-index companies, which include new issues that often offer great opportunities.
4. I am sure you will agree my system already gives you an exciting edge, but read on before you rush out and put it into practice.
5. The logic is obvious; if a company grew at, say, 50% per annum for a 20-year period, it would be over 3,000 times bigger than when it started.
6. In the UK, Hanson has been a good example of this transition.
7. A relatively minor setback can easily cause an astronomic PER to crumble.

Chapter 6 | Quotes From Pages 130-146

1. There is no more reassuring investment than a good growth share with healthy cash balances and cash flow per share well in excess of EPS.

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2. Not all earnings are created equal.
3. Cash flow is the life blood of any business.
4. Constructing a cash flow sieve ... is simply to require cash flow to be in excess of EPS per share for the last reported year and for the five-year average.
5. Investment is essentially a game of averages and the security the cash flow sieve gives me more than outweighs the annoyance of missing the occasional winner.

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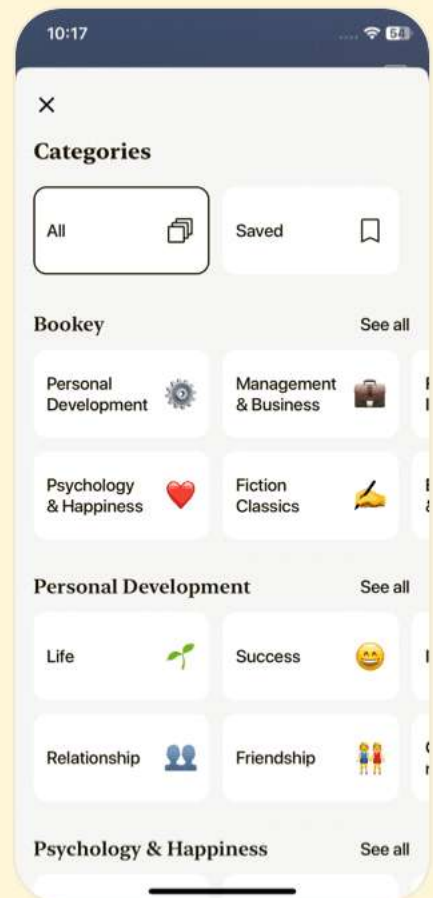
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Chapter 7 | Quotes From Pages 147-168

1. The best-performing shares tend to be those that have already started behaving like winners by outperforming the market.
2. In a bull market, using relative strength as an investment measure works exceptionally well. It identifies companies that are acting like winners.
3. The very least that an investor should do is to make sure that at the time of purchase the share being bought is acting like a winner and that its future in the stock market appears to be set fair.
4. The purpose of this chapter is not to examine the courses of action open to them once a share has been bought, but it is abundantly clear that it would be nonsense to begin an involvement with a growth company when its shares are starting to act badly against the market.
5. A steeply rising share price, coupled with high relative strength and a forecast of strong EPS growth beckoning the share price further ahead, is the most encouraging pattern.



Chapter 8 | Quotes From Pages 169-189

1. It is important to ensure, as far as you are able, that the management of any company in which you invest is both competent and honest.
2. If the management of a company is intent upon fooling you, all of the cards are stacked in its favour.
3. The most useful aspect of a visit to a company is the opportunity to observe the general behaviour and attitude of the executives and staff.
4. A director investing a significant amount of cash in his or her company presumably feels that the shares are undervalued and are a better investment than cash.
5. When a management with a reputation for brilliance tackles a business with a reputation for poor fundamental economics, it is the reputation of the business that remains intact.

Chapter 9 | Quotes From Pages 190-217

1. 'The test of a franchise is what a smart guy with a lot of money could do to it if he tried.'

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2. 'How much damage a competitor can do, even if he is stupid about returns.'
3. 'The moons are calibrated to show the exact position of a company in its sector and in the market as a whole.'
4. 'A high ROCE, in the region of 20% or more, is validation of the company's competitive advantage.'
5. 'Very high margins invite competition.'
6. 'Falling margins can be the first (and possibly the only) warning signal that a company is losing its competitive advantage.'

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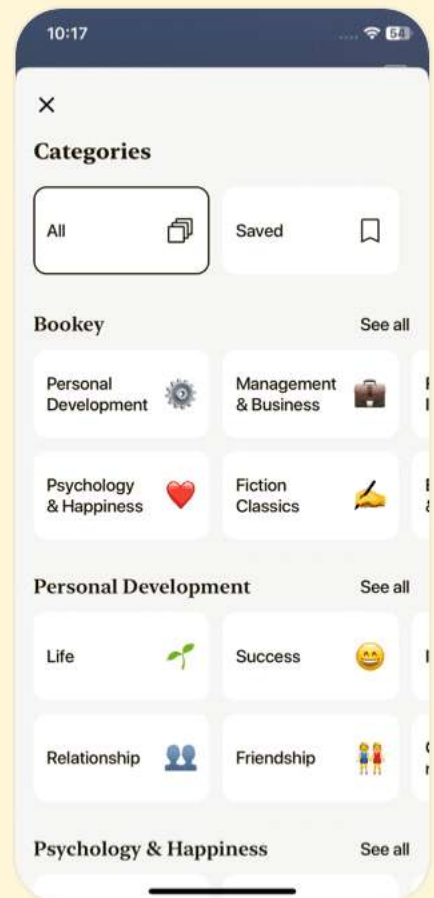
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Chapter 10 | Quotes From Pages 218-232

1. There is no substitute for cash in the bank when a gale is blowing through world financial markets.
2. A highly geared company is obviously less well equipped to deal with the unexpected, such as a major strike or a sudden recession.
3. If the gearing of a company was over 50% of net assets, it should be avoided as an investment.
4. As it is possible to invest in companies which satisfy my general investment criteria and have strong cash flow and strong balance sheets, it seems unnecessary to take an extra risk unless circumstances are very special indeed.
5. Low and/or deteriorating interest cover is an obvious danger signal and can sometimes be a precursor to a reconstruction, fund-raising or business failure.

Chapter 11 | Quotes From Pages 233-249

1. An acceleration in the rate of growth of a company's EPS often provides an excellent opportunity for buying its shares cheaply.

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2. The important point to grasp is that of the increase in the share price of 67.5p only 7.5p would have resulted from the increase in EPS – the balance of 60p would have arisen from the status change in the PER.
3. You can wait until it is a fait accompli. You might have to pay a little more but if you act quickly, the major part of the status change in the PER will be yours for the taking.
4. The key point that Azlan illustrates is that a share cannot absorb a large amount of good news instantly.
5. The ideal time to invest in this kind of company is when it has proved that the formula works and is beginning to roll it out.
6. The magic words are ‘like-for-like sales’ – when they start to falter it is time to wave goodbye to the company.

Chapter 12 | Quotes From Pages 250-287

1. ‘Elephants don’t gallop’.
2. ‘When I am buying, I am usually prepared to pay a little more to obtain the number of shares I am looking for and when I have to sell, I am equally prepared to take a small



discount if necessary.'

3. 'Generally speaking, look for companies with at least two brokers making profit forecasts, with a low standard deviation between them.'

4. 'If you are right, speculating on whether or not management will solve major problems is obviously very much more rewarding than investing when the management has already done so.'

5. 'An attractive dividend yield helps to support a share price.'

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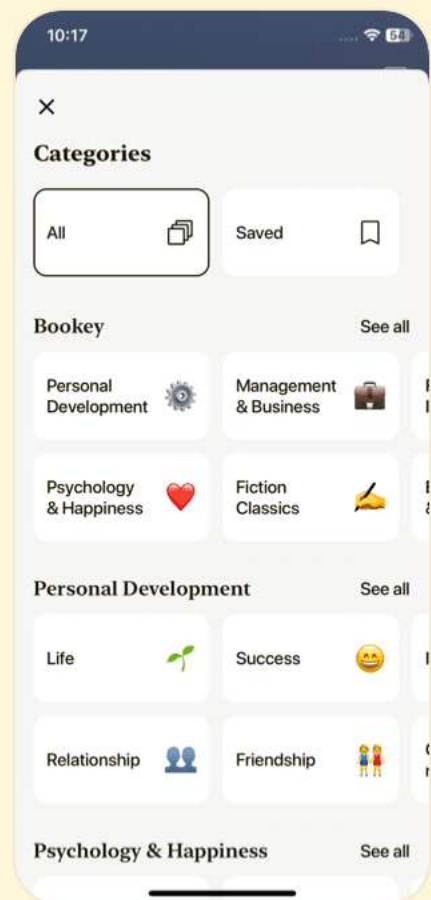
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Chapter 13 | Quotes From Pages 288-292

- 1.If you intend to use an execution-only broker,
Fidelity and Sharelink are two of the largest and
best-known, although by no means the cheapest.
- 2.You should not begrudge a good broker his commission
provided you get the right level of service.
- 3.If a company's cash flow is well below its EPS or its
previous year's relative strength is poor, or its PEG is over
one – give it a miss.
- 4.To save troubling your broker unduly, it is preferable to fax
the company secretary or the company in question to
request annual and interim reports.
- 5.Whether you invest or not it pays to make a file on each
company.

Chapter 14 | Quotes From Pages 293-322

- 1.A PEG Less than half of the shares in the FT-SE
All-Share index have a PEG, so if a company has
been awarded one it is an immediate and major
plus point.

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2. In most cases, however, an existing PEG is essential.
3. Strong cash flow is essential. I want to see EPS converted into cash year after year and to see it translating into strong cash balances or, at the very least, rapidly reducing gearing.
4. I usually find the share I invested in by beginning with the whole universe of quoted shares and applying a series of sieves like low PEGs, strong cash flow and high relative strength.
5. The absence of major selling is mandatory.
6. Using the quiver full of arrows.
7. It is important to monitor your success or failure in departing from a strictly arithmetical approach.

Chapter 15 | Quotes From Pages 323-348

1. Investment is essentially a business of averages and quite often of surprises.
2. It is a mistake to think one limits one's risk by spreading too much between enterprises about which one knows little and has no reason for special confidence.
3. The oldest and best axiom in investment is to run profits

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and cut losses.

4.If the story has changed, it's time to sell.

5.A low PEG provides a margin of safety and buying shares in a systematic way is very different from speculating.

6.Shares held in PEPs form an integral part of an overall portfolio but, as they operate tax-free, the arguments for running profits in them are less acute.

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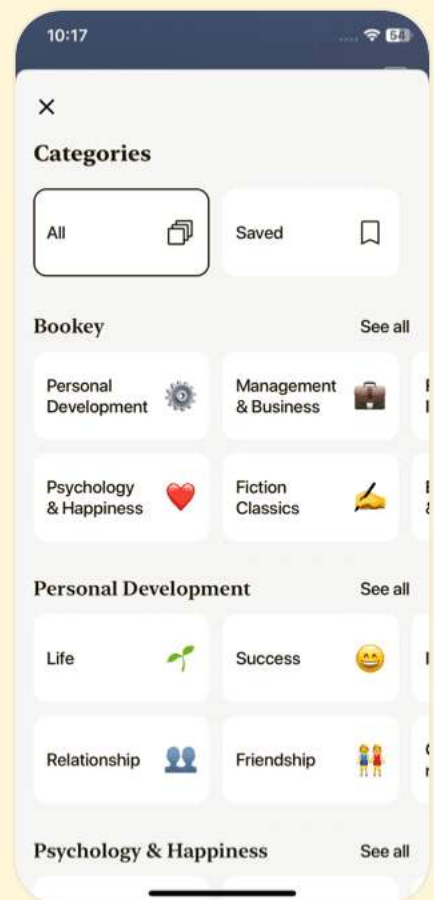
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Chapter 16 | Quotes From Pages 349-363

1. Investors who buy shares for the long term and insist on a margin of safety (such as a low PEG) at the time of purchase, have little to fear from the vagaries of the market.
2. Warren Buffett advises investors to pretend that they have been issued with a punch-card with a space for 20 holes.
3. The more worried most investors feel, the more likely it is that shares are about to go up.
4. Crowd psychology is explained in Gustave le Bon's classic book *The Crowd* and in Charles Mackay's excellent book *Extraordinary Popular Delusions and the Madness of Crowds*.
5. When over 75% of all the stocks in the market have been standing above their long-term averages, if the number of stocks then falls below 75% that is usually a bearish technical signal.
6. If the market outlook appears to be really grim and the percentage of your patient money invested is causing you

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to lose sleep, reduce it to your sleep level.

Chapter 17 | Quotes From Pages 364-399

- 1.The Internet is a loosely configured web of around 40,000 corporate, educational and research computer networks around the world.
- 2.The present mania would make Benjamin Graham, the father of value investing, turn in his grave.
- 3.Investing in concept stocks is like making a series of bets.
- 4.Fallen angels often begin a period of internal reappraisal and reorganisation.
- 5.Always check how technology companies treat their R&D expenditure.

Chapter 18 | Quotes From Pages 400-426

- 1.Investment is no different from cooking or gardening.
- 2.If you wanted to be a better cook or a better gardener, you would not hesitate to read good books, written by the experts who have devoted their lives to those pursuits.
- 3.The time spent reading them should be richly rewarded in

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superior investment performance in the years ahead.

4. To summarise the general factors needed for well-timed investment in cyclical: The second or subsequent year of falling interest rates seems to be a far better bet than the first year.
5. If growth in non-oil GDP rises to 4% or more, this seems to be an obvious signal that higher interest rates are likely in the following year.
6. The trend of newsflow will be the main influence on the share price.

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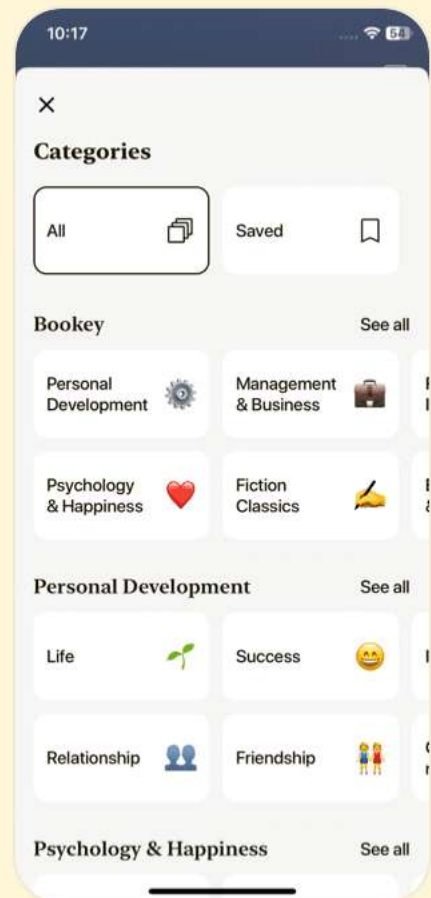
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Chapter 19 | Quotes From Pages 427-435

1. I hope this book has convinced you that, by being systematic, you will be able to beat the market by a wide margin.
2. The criteria are not meant to be applied rigidly. They are more in the nature of guidelines for growth investors.
3. The essence of my approach for selecting growth shares is to start with the whole universe of the market and sieve it down until only a few remain as candidates for my portfolio.
4. Investment is the art of the specific and selection is much more important than timing.
5. The most important advice I can give private investors is to develop a system, method or discipline of their own.
6. Run profits, cut losses and use PEPs to the maximum possible extent.
7. You will get out of investment what you put into it.
8. As your technique improves, I predict with confidence that you will begin to enjoy investment as much as any other

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game that you have learned to play well.

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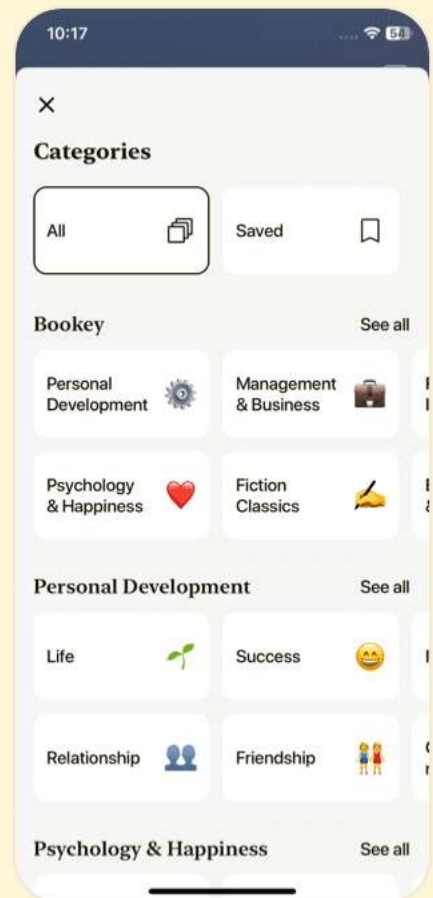
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The Zulu Principle Questions

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Chapter 1 | 1. Your Approach to Investment| Q&A

1.Question

Who is this book not for?

Answer: This book is not for individuals who are satisfied with steady and relatively secure growth from investments like pensions, life insurance, or unit trusts, and are unwilling to spend time worrying about their finances.

2.Question

What approach to investment does the book suggest?

Answer: The book suggests that good investment often involves challenging conventional wisdom. It encourages readers to seek extraordinary returns by investing time and effort in understanding and actively managing their investments.

3.Question

What are the advantages of private investors over

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institutional investors?

Answer:1. Private investors can invest effectively in smaller companies due to having less capital, which institutions often overlook. 2. They can concentrate their portfolio on 10 carefully selected stocks rather than spreading their investments over hundreds. 3. They can apply their specific knowledge and expertise effectively to a small portfolio.

4.Question

What is the Zulu Principle?

Answer:The Zulu Principle emphasizes the importance of specializing in a narrow field of investment, just as one can become a leading expert in a specific subject by focusing their efforts. By concentrating on one area, such as growth shares, private investors can gain an edge in their investment decisions.

5.Question

How can investment clubs benefit private investors?

Answer:Investment clubs offer inspiration, help share knowledge and experiences, provide moral support, and

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allow members to share subscription costs for investment resources, ultimately enhancing their investment learning and performance.

6.Question

What should aspiring investors do before making investments?

Answer:Aspiring investors should read extensively about investment strategies and tactics, similar to how someone interested in cooking would read a cookbook. This foundational knowledge is critical for successful investing.

7.Question

What are some recommended readings for those new to investment?

Answer:Recommended readings for beginners include 'Beginner's Guide to Investment' by Bernard Gray, 'How to Read the Financial Pages' by Michael Brett, and 'Investment Made Easy' by Jim Slater.

8.Question

What is Company REFS?

Answer:Company REFS is a comprehensive investment

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service created to provide active private investors with reliable financial statistics and information about quoted companies, helping them make informed investment decisions.

9.Question

What does the author aim to achieve with this book?

Answer:The author aims to help readers understand better growth shares and equip them with the knowledge to select and manage these investments effectively, thereby enabling them to outperform the market.

10.Question

What is the main focus of investment for most private investors according to the author?

Answer:The main focus should be on growth shares, as they are considered the most rewarding investments with unlimited potential for upside.

Chapter 2 | 2. Why Growth Shares?| Q&A

1.Question

Why should investors focus on growth shares rather than other investment approaches?

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Answer: Investors should focus on growth shares because they offer excellent growth prospects and benefit from compounding earnings. This method not only provides significant long-term capital gains but also allows investors to hold onto their investments longer, minimizing tax liabilities associated with short-term gains. Essentially, growth shares provide a 'double whammy' of short-term price corrections and long-term compounded growth.

2.Question

How can measuring price-earnings ratios (PER) help in the selection of growth shares?

Answer: By comparing a company's price-earnings ratio to its growth rate and those of its peers, investors can identify undervalued growth shares. The lower the PER relative to a company's growth, the more attractive the investment. This approach helps establish a margin of safety, ensuring that if the market does not expect much from a company, it is less

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likely to diminish in value.

3.Question

What is the significance of compounding in investment based on Anne Scheiber's story?

Answer: Anne Scheiber's investment journey illustrates the extraordinary power of compounding. With an initial investment of \$5,000 at an average return of over 18% per annum, her wealth grew to \$22 million by the time she passed away. This showcases how even modest rates of return can lead to enormous wealth over time, emphasizing the importance of patience and long-term investment.

4.Question

What makes Coca-Cola an example of an exceptional growth share?

Answer: Coca-Cola is highlighted as an exceptional growth share because, despite facing numerous economic fluctuations since its IPO in 1919, its value has consistently increased over decades. The original investment of \$40 per share grew to over \$4 million by 1996, showcasing the power

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of sustained growth and resilience in the face of market volatility.

5.Question

What does the comparison between Mr. A and Mr. B reveal about investment strategy?

Answer:The comparison indicates that consistent selection of high-quality growth shares is more important than attempting to time the market effectively. While Mr. A, who tried to time his investments, achieved a significant return, Mr. B, who stayed invested in the best sectors, vastly outperformed him. This demonstrates that strategic selection trumps timing in achieving superior investment outcomes.

6.Question

How can investors build confidence in selecting growth shares?

Answer:Investors can build confidence in selecting growth shares by becoming informed and skilled in analyzing companies' performance, growth prospects, and market dynamics. By focusing on a specific approach and honing

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their expertise over time, they will become less concerned about market fluctuations and more adept at identifying promising investments.

7.Question

What overarching principle can private investors take away from the investment strategies discussed?

Answer:Private investors should adopt the principle of focusing on growth shares for their strong long-term potential while prioritizing careful selection over market timing. Emphasizing expertise in one investment approach can lead to better decision-making and substantial returns.

8.Question

What warning is given regarding the market's fluctuations?

Answer:The text warns that nobody can reliably predict market fluctuations, and investors should be prepared for unpredictable changes. It emphasizes that investment should be more about choosing the right shares rather than worrying about the market's short-term movements.

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Chapter 3 | 3. What is a Growth Share?| Q&A

1.Question

What defines a growth share according to Jim Slater?

Answer:A growth share is characterized by its ability to increase earnings per share (EPS) at an above-average rate consistently over the years.

While growth companies may acquire others, the key factor is their capacity to generate organic growth from within, regardless of occasional setbacks due to cyclical influences or economic conditions.

2.Question

Which sectors are favored for identifying growth stocks?

Answer:Jim Slater mentions that favorable sectors for finding growth stocks include Pharmaceuticals, Healthcare, Media, and Support Services. These sectors are less cyclical and tend to exhibit more reliable growth compared to industries like Building & Construction or Engineering, which are highly sensitive to economic fluctuations.

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3.Question

How important is the competitive advantage for a growth company?

Answer:Competitive advantage is crucial for growth companies as it often relates to holding patents for innovative products, strong brand recognition, or exclusive licenses. This advantage helps maintain their growth trajectory and protects them from competition, making it an essential factor in investment decision-making.

4.Question

What minimum EPS growth rate should investors aim for in growth stocks?

Answer:Investors should aim for a minimum EPS growth rate of 15% per annum. Achieving this rate is significant as it leads to a doubling of EPS every five years, providing strong returns on investment.

5.Question

Why is management ability mentioned as a key factor in growth companies?

Answer:The quality of management, particularly that of the

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chief executive, influences a growth company's potential to excel. However, judging management is challenging and subjective, which is why Slater emphasizes relying more on measurable financial metrics before delving into management assessment.

6.Question

How does Slater suggest identifying a growth company?

Answer:Slater recommends a systematic approach by filtering for companies with consistent EPS growth over at least four years. Financial results should show strong profitability, absence of losses, and favorable broker forecasts, which together reduce the pool to genuine growth companies.

7.Question

What is the PEG ratio and its significance in evaluating growth stocks?

Answer:The PEG (price-earnings growth) ratio is a measure that contextualizes a company's stock price against its earnings growth rate. It helps investors evaluate whether a

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growth stock is undervalued or overvalued relative to its growth performance. Only companies classified as genuine growth shares are assigned a PEG, emphasizing the importance of sustainable growth.

8.Question

Summarize the general characteristics of great growth companies described in the chapter.

Answer:Great growth companies typically have the following characteristics: strong EPS growth year-on-year, presence in less cyclical sectors, competitive advantages like patents or brands, effective cloning capabilities to expand operations, and robust management, along with a commitment to continued growth.

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Chapter 4 | 4. Price-Earnings Growth Factors| Q&A

1.Question

What is the Price-Earnings Growth factor (PEG) and why is it important?

Answer:The PEG is a measure that indicates the relationship between a company's Price-Earnings Ratio (PER) and its expected earnings per share (EPS) growth rate. It is significant because it helps investors evaluate whether a growth stock is undervalued or overvalued by analyzing potential future growth in relation to its current price, making investment decisions more grounded and insightful.

2.Question

How do you calculate the PEG?

Answer:To calculate PEG, divide the prospective PER of a share by the estimated future growth rate of its EPS. For instance, if a company's PER is 12 and the EPS growth rate is 24%, the PEG would be 12 divided by 24, which equals 0.5.

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3.Question

What does a PEG of 1.0 indicate?

Answer:A PEG of 1.0 suggests that the share price is in line with the expected growth rate. Shares around this PEG are considered worthy of further attention.

4.Question

What does a PEG value under 1 mean for investors?

Answer:A PEG value under 1 typically indicates a potentially attractive investment because it suggests that the company's shares are underpriced relative to its growth rate.

5.Question

Why is it important to compare companies with the same fiscal year ends when looking at PEG?

Answer:Comparing companies with different fiscal year ends can yield misleading information, as substantial changes in the business environment can occur within just a few months. Consistent timing ensures a fair evaluation of performance based on up-to-date data.

6.Question

What benefit do rolling twelve months ahead statistics

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provide for investors?

Answer:Rolling twelve months ahead statistics give a more accurate forward-looking valuation of a company, allowing investors to assess the growth potential and generate meaningful comparisons without relying solely on historical data.

7.Question

How can an investor assess the validity of EPS growth forecasts?

Answer:An investor can check the company's annual reports and interim statements for the chairman's insights, observe news flow, track the trends in dividend payments, and stay up-to-date with the performance of competitors and general market conditions to gauge the credibility of EPS forecasts.

8.Question

What is the significance of low PEG shares in growth investing?

Answer:Low PEG shares offer a balance of growth potential and risk stability. They provide investor safety against minor

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setbacks in EPS growth while also allowing for significant upside potential if the companies gain market recognition.

9.Question

Why should investors pay attention to the number of brokers covering a company's forecast?

Answer:A higher number of brokers providing forecasts enhances the reliability of the consensus estimate. It indicates broader market confidence, while a small standard deviation among their estimates suggests consistency and cooperation in projections.

10.Question

Where should investors look to verify brokers' forecasts?

Answer:Investors should look into the REFS company entries, which provide recent consensus forecasts, along with comments from brokers, especially from those with a history of accuracy, to assess the potential accuracy of future EPS projections.

Chapter 5 | 5. PEGs at Work| Q&A

1.Question

What has the research shown about shares with low PEG

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ratios?

Answer: Shares with PEG ratios under 0.6 have consistently outperformed the market by approximately 2.5 times, achieving an average rise of 22.9% compared to only 8.9% for the market during the tested six-month periods.

2.Question

What should investors be cautious about regarding the Fledgling index?

Answer: The Fledgling index is a mix of promising young companies and those that have fallen out of favor, meaning it can contain both potential opportunities and underperforming stocks. Investors should be wary of PEGs based on forecasts from single brokers and the marketability of these shares.

3.Question

Why is it recommended to avoid shares with high P/E ratios?

Answer: Shares with high P/E ratios (over 20) are considered more vulnerable in bear markets because their valuation is

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built on exceptional growth expectations, which are unsustainable in the long run. As such, these shares are likely to regress back to more normal growth rates, diminishing their value.

4.Question

How do low PEG companies perform during bear markets compared to high PEG companies?

Answer: While low PEG shares may experience some disappointing periods in bear markets, typically, they do not suffer as severely as high PEG shares, which can see drastic declines due to their inflated expectations.

5.Question

What is the ideal growth rate and corresponding P/E ratio according to the author?

Answer: The author prefers a growth rate of around 30% with a prospective P/E ratio of about 15, as this balance offers a lower risk of regression compared to chasing shares with higher growth projections.

6.Question

How can an investor maintain an edge in stock market

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investments?

Answer: Investors can maintain an edge by focusing on companies with low PEGs that are exhibiting strong growth potential, while also using additional screening strategies to refine their stock picks and mitigate risks.

7.Question

What does the author mean by 'regression to the norm'?

Answer: 'Regression to the norm' refers to the trend where exceptional growth rates eventually slow down and align more closely with average industry performance, causing high P/E ratios to fall as market expectations adjust.

Chapter 6 | 6. Cash Flow| Q&A

1.Question

What is the significance of cash flow in evaluating a company?

Answer: Cash flow is crucial because it is more reliable than earnings. It indicates a company's ability to turn profits into actual cash, which is essential for paying debts, funding future

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investments, and providing dividends. A strong cash flow ensures that a company can sustain its operations and grow without relying heavily on borrowed funds.

2.Question

How can investors assess the safety of future dividends through cash flow?

Answer: Investors can assess the safety of future dividends by examining the cash flow per share in relation to earnings per share (EPS). If cash flow per share consistently exceeds EPS, it indicates that the company generates enough cash to cover dividend payments, signaling that dividends are likely to be sustainable.

3.Question

What does a low Price-to-Cash Flow (PCF) ratio indicate?

Answer: A low PCF ratio suggests that shares may be undervalued in relation to their cash flow, but it does not necessarily indicate that a company has strong cash flow. It's

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important to analyze cash flow itself rather than rely solely on PCF.

4.Question

Why is it advisable to avoid 'cash-guzzlers'?

Answer:'Cash-guzzlers' are companies that repeatedly spend more cash flow on capital expenditures than they generate. This can indicate poor financial health and a lack of funds available for dividends, debt repayment, or reinvestment, making them risky investments.

5.Question

What benefits does a cash flow sieve provide in screening investments?

Answer:A cash flow sieve helps filter out companies by ensuring that cash flow per share exceeds EPS for both the last reported year and the five-year average. This criterion offers more comfort to investors, especially during bear markets, as it enhances the likelihood of selecting financially healthier companies.

6.Question

How does capital expenditure relate to cash flow?

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Answer:Capital expenditure requires cash flow to finance necessary investments in plant, machinery, or expansion. Strong cash flow ensures that a company can comfortably afford capital expenditures while still having sufficient funds left for dividends and other operational needs.

7.Question

What can indicate a company is over-trading?

Answer:If a company shows rapidly increasing earnings per share, but its cash flow is shrinking, it may be a sign of over-trading. This could suggest that the company is overextending itself with inventory or credit, risking financial strain.

8.Question

Why is the five-year average of cash flow per share important?

Answer:The five-year average of cash flow per share provides insights into a company's long-term performance trends. It helps investors understand whether cash flow is consistently strong enough to support ongoing operations and

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growth, beyond short-term fluctuations.

9.Question

How did companies with low PEG ratios perform when assessed with a cash flow sieve?

Answer:Companies with low PEG ratios that were screened through a cash flow sieve outperformed the market, with the sieve eliminating many potential losers and retaining profitable stocks, demonstrating its effectiveness in risk management.

10.Question

What role do owners' earnings play in investment decisions?

Answer:Owners' earnings, calculated as cash flow minus necessary capital expenditures, are vital for informing investors about the true profitability available for dividends and growth. High owners' earnings indicate a more attractive investment opportunity.

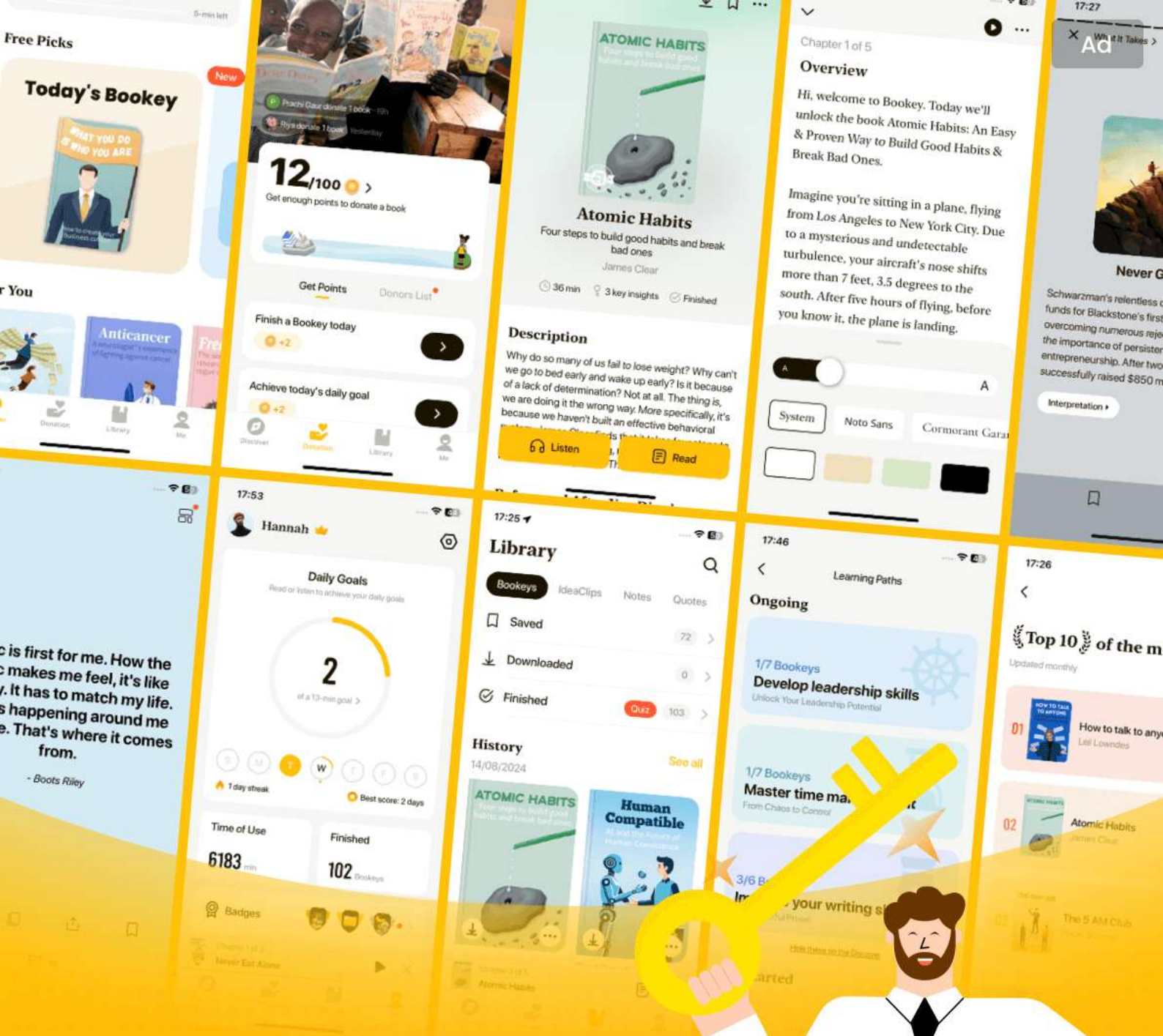
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Chapter 7 | 7. Relative Strength| Q&A

1.Question

What is the importance of relative strength in selecting high-growth stocks?

Answer:Relative strength is crucial because it indicates how a share price performs relative to the broader market. Stocks that show strong relative strength have already begun acting like winners, suggesting potential for future growth. Studies have found that high relative strength is consistently linked to successful investment strategies.

2.Question

How do you calculate relative strength?

Answer:Relative strength is calculated by comparing the performance of a stock to the market. For instance, if a stock rises less than the market, its relative strength will be negative, even if it's showing some growth. Detailed calculations involve assessing the percentage change of the stock in relation to the market's percentage change.

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3.Question

What are the two requirements for a stock to pass the relative strength sieve?

Answer: To qualify through the relative strength sieve, a stock must show positive relative strength for the previous month and a stronger positive relative strength over the previous twelve months compared to the one-month figure.

4.Question

Why might an investor relax the one-month relative strength rule?

Answer: An investor might relax the one-month rule if there is a mild negative performance, provided the stock shows positive relative strength over the last three months. This approach allows for tolerance of short-term fluctuations while maintaining focus on long-term growth.

5.Question

What evidence supports the effectiveness of the relative strength sieve in investment selection?

Answer: The effectiveness of the relative strength sieve is supported by data showing that stocks selected based on this

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criterion experienced a 34.5% average increase over six months, significantly outperforming other strategies and the overall market.

6.Question

How should investors react to a declining share price after purchase?

Answer:If a stock exhibits continued decline over several months, it may indicate underlying issues. Investors should reconsider the stock's place in their portfolio, especially if it starts acting poorly against the market.

7.Question

What role does technical analysis play in stock selection according to Slater?

Answer:Technical analysis, specifically charts showing relative strength and price trends, provides valuable insights into market sentiment and aids investors in making informed decisions about entry and exit points. It helps in recognizing patterns and predicting potential movements.

8.Question

Why may relative strength be less effective during bear

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markets?

Answer: In bear markets, investors often panic and sell profitable stocks, regardless of their fundamentals. This can skew relative strength readings and reduce their effectiveness as an indicator for growth, as high-performing shares may still face declines.

9.Question

What is the Coppock Indicator and its relevance to market signals?

Answer: The Coppock Indicator is a reliable signal of a bull market, historically showing a strong track record of predicting market rises. Its ability to consistently identify buy signals makes it a valuable tool for investors looking to enter bullish phases.

10.Question

What major conclusion can we draw about growth investing from this chapter?

Answer: The major conclusion is that focusing on stocks with positive and strong relative strength over time is a key

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strategy for identifying potential growth investments, especially in a bull market, while ensuring to monitor for any signs of declining performance.

Chapter 8 | 8. Management| Q&A

1.Question

What is one of the main indicators of competent and honest management in mature companies?

Answer:The record of earnings per share (EPS)

growth is one of the best ways to judge the capability of management in mature companies.

2.Question

How can investors discern a company's management effectiveness in the early stages?

Answer:In less mature companies, while EPS growth is crucial, the available record may be too short to reliably assess management's capabilities.

3.Question

What warning signs should investors look for when researching a company's annual report?

Answer:Investors should be cautious of overly lavish annual

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reports filled with color photographs, especially of directors, as they may indicate that management is more focused on image than substance.

4.Question

What behaviors of employees can indicate the health of a company's corporate spirit?

Answer: Prompt and pleasant telephone answering, an alert receptionist, enthusiastic staff, and a general sense of pride and purpose among employees can indicate a positive corporate spirit.

5.Question

Why should attending an Annual General Meeting (AGM) be part of an investor's strategy?

Answer: Attending AGMs allows investors to gauge how well the meeting is organized and how effectively management, particularly the chairman and chief executive, deals with questions, giving insights into the company's transparency and accountability.

6.Question

What does a cluster of directors buying shares signify to

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an investor?

Answer: A cluster of directors buying shares can be a very bullish sign, indicating strong confidence in the company's future performance.

7.Question

What should investors be cautious of when a new chief executive is appointed?

Answer: While the appointment of a new chief executive can indicate a potential turnaround, investors should not rely solely on the new CEO; assessing the underlying health of the business remains crucial.

8.Question

How can the lifestyle of a chief executive serve as a warning sign for investors?

Answer: If a chief executive lives excessively flashy or extravagant in a way that reflects poorly on the company, it could suggest priorities that are misaligned with the company's growth and sustainability.

9.Question

What key points should investors consider regarding

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directors' share dealings?

Answer: Investors should look at the significance of the share transactions relative to each director's holdings, noting that buying is more significant than selling, and a collective buy signal from multiple directors is stronger.

10.Question

What overarching principle should guide an investor's evaluation of company management?

Answer: It is vital to cross-check different indicators, like management's track record, employee sentiment, and directors' dealings, to build a holistic view of the management's capability and integrity.

Chapter 9 | 9. Competitive Advantage| Q&A

1.Question

What is a competitive advantage and why is it important for a company's future earnings?

Answer: A competitive advantage is a unique edge that a company has over its competitors, which enables it to achieve higher sales, margins, and

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profits. It is crucial because it underpins future earnings and increases the reliability of profit forecasts, making a company more attractive to investors.

2.Question

What are some examples of sources from which a company can derive a competitive advantage?

Answer: Examples include top-class brand names (e.g., Coca-Cola, McDonald's), patents or copyrights (e.g., Glaxo Wellcome's Zantac), legal monopolies (e.g., water and electricity companies), dominance in an industry (e.g., Microsoft, Disney), and an established position in a niche market (e.g., Druck Holdings).

3.Question

According to Warren Buffett, how can one assess the strength of a business franchise?

Answer: Buffett states that the test of a franchise is how much damage a competitor could do to the business, even if that competitor lacks competence. A strong franchise should have

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robust barriers to entry that prevent competition from easily undermining its profitability.

4.Question

What does ROCE stand for and why is it a significant measure for assessing a company's performance?

Answer:ROCE stands for Return on Capital Employed. It measures the profitability and efficiency of a company in using its capital, providing insights into how well the company is generating returns compared to the cost of capital. A high ROCE is typically an indicator of a competitive advantage.

5.Question

How should ROCE be compared to another financial metric, and why is this important?

Answer:ROCE should always be compared to the current cost of borrowing. This comparison is important because if the ROCE is significantly higher than borrowing costs, it suggests that the company can efficiently use additional debt to grow profits, adding value for shareholders.

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6.Question

What indications can falling margins provide about a company's competitive advantage?

Answer:Falling margins can serve as a warning signal that a company may be losing its competitive advantage. It often signifies that a company is facing increased competition or inefficiencies that are eroding profitability.

7.Question

What key metrics should investors look at to assess a company's competitive position?

Answer:Investors should examine metrics like the trend of ROCE, profit margins, and comparisons with sector averages and peer groups. These statistics can help in understanding the company's competitive positioning and potential for future growth.

8.Question

Why is it important to consider the operating margin of a company?

Answer:The operating margin indicates how efficiently a company turns sales into profits. A very high margin may

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invite competition, while a low margin increases investment risk, as slight changes in sales can lead to large fluctuations in profits.

9.Question

What is the significance of looking at sector comparisons for investments?

Answer:Sector comparisons provide an arithmetic way to check a company's competitive advantage by showing how it stands relative to its peers. This can reveal trends, strengths, or weaknesses that direct profitability related to the industry's overall performance.”}, {

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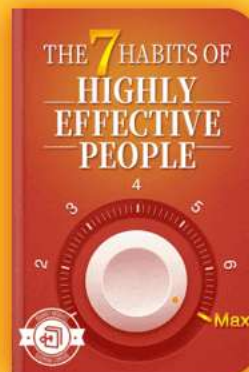
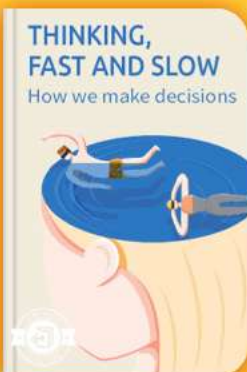


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Chapter 10 | 10. Strong Financial Position| Q&A

1.Question

What is the significance of understanding a company's gearing ratio when evaluating its financial strength?

Answer: The gearing ratio indicates the level of a company's borrowings compared to its equity, helping investors assess its financial risk. A high gearing ratio (over 50%) can signify vulnerability, particularly if borrowings are short-term, making the company sensitive to interest rate changes and economic downturns.

2.Question

How does net gearing differ from gross gearing, and why is this distinction important?

Answer: Net gearing deducts cash and equivalents from total borrowings, providing a clearer view of a company's actual financial obligation relative to equity. This is important because it reflects how well a company can manage its debt in emergencies by utilizing available cash.

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3.Question

Why is cash flow considered a crucial metric despite the gearing ratio being high?

Answer:A strong cash flow can mitigate the risks associated with high gearing by indicating that a company can meet its debt obligations comfortably. For example, if a company has high gearing but is generating substantial cash flows, it reduces the perceived risk of financial strain.

4.Question

What does a quick ratio under one typically indicate about a company's financial health?

Answer:A quick ratio under one suggests that a company may struggle to meet its short-term liabilities with its most liquid assets, which could lead to financial distress or signal a possible need for capital raising.

5.Question

In what context might an investor be willing to overlook high gearing in a company?

Answer:Investors might overlook high gearing if the company shows strong cash flow and has plans to rapidly

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reduce its gearing. For instance, if a company has high gearing but generates substantial cash flow to support its operations, the high ratio may be deemed less concerning.

6.Question

Why is dividend cover an important metric for investors?

Answer:Dividend cover indicates how well a company's earnings support its dividend payouts. A solid dividend cover (ideally between 2-3 times) provides assurance to investors that dividends can be sustained, and low cover can foreshadow potential cuts, adversely affecting share price.

7.Question

How should the various ratios (quick ratio, current ratio, interest cover) be interpreted within the context of the specific industry?

Answer:Different industries have varying norms for these ratios; for instance, retailers might operate effectively with lower quick and current ratios compared to manufacturing firms. It's crucial to compare these measurements against sector averages to gauge a company's relative financial

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health.

8.Question

What overarching principle can be derived regarding high-gearred companies from the chapter?

Answer: The overarching principle is to exercise caution with high-gearred companies, especially in volatile markets, as they are more exposed to financial risks unless bolstered by strong cash flow and efforts to reduce gearing.

9.Question

What role do intangible assets play in assessing a company's financial strength according to the chapter?

Answer: Intangible assets can complicate financial assessments, as many companies with significant intangible assets may appear potentially over-leveraged. Therefore, investors should consider the true market value and operational performance alongside these figures when evaluating financial strength.

10.Question

What is the importance of sector comparisons in analyzing financial ratios?

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Answer: Sector comparisons allow analysts to contextualize a company's ratios and financial health within its specific industry dynamics, highlighting that what may be concerning in one sector could be normal or acceptable in another.

Chapter 11 | 11. Accelerating Earnings Per Share| Q&A

1.Question

What is the significance of accelerating earnings per share (EPS) in investment opportunities?

Answer: Accelerating EPS growth indicates that a company's profitability is improving at a faster rate than initially anticipated, often leading to a rise in share prices as the market catches up with this positive information. Because share prices take time to reflect changes in EPS forecasts, investors have the opportunity to buy shares at a lower price before they fully appreciate the company's growth prospects.

2.Question

How can changes in broker forecasts impact share prices?

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Answer: Changes in broker forecasts can significantly impact share prices because an upward revision in EPS forecasts signals to the market that a company is likely to perform better than previously thought, which can lead to increased investor demand and higher share prices.

3.Question

Can you give an example of a company that benefited from unexpected earnings growth?

Answer: Azlan Group provides a clear example. When they announced their interim results would be four times greater than the market's expectation, their share price jumped from 350p to 420p on the announcement date and eventually reached 600p. This illustrates how a positive shift in EPS can substantially elevate share value over time.

4.Question

What should investors look for when identifying companies with the potential for accelerating EPS?

Answer: Investors should scan for consistent upward trends in EPS growth on company charts, closely monitor brokers'

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consensus forecast changes, and seek companies that have a successful formula for replication (cloning), which demonstrates their ability to scale operations and increase profitability.

5.Question

What factors can contribute to a company being able to clone its activities successfully?

Answer:A company can successfully clone its activities when it has developed a winning business formula that can be applied in multiple locations or markets. This often leads to decreased overhead costs as operations scale, improved margins due to stronger negotiating power with suppliers, and overall increased profitability as more outlets contribute to the bottom line.

6.Question

What warning signs should an investor be mindful of regarding like-for-like sales?

Answer:Investors should remain vigilant for signs of faltering like-for-like sales, meaning that existing operations

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aren't performing well despite expansion opportunities. If like-for-like sales begin to decline, it could indicate that competition is increasing or the company may struggle to maintain its market share.

7.Question

Why is it important to not overpay for a company's shares despite its growth potential?

Answer:Paying too high a multiple for shares can reduce the overall return on investment if the anticipated growth does not materialize as expected. This is because an inflated purchase price may limit the upside potential, especially when the market eventually settles down to more realistic valuations.

8.Question

What analytical tools are suggested for monitoring EPS growth and broker forecasts?

Answer:The REFS tables provide essential data in tracking monthly changes in brokers' consensus forecasts for EPS, highlighting companies with significant upward revisions.

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Additionally, reviewing charts that depict historical EPS growth trends can help investors recognize accelerating growth opportunities.

9.Question

How does the investment atmosphere in the UK differ from that in America regarding fast-growing companies?

Answer:In the UK, investors tend to be more cautious of companies with exceptional growth rates, making it easier to acquire shares at lower multiples compared to the US, where high-growth companies often command much higher price earnings ratios due to a larger consumer market willing to invest in potential.

10.Question

What are the key takeaways regarding investing in companies with cloning potential?

Answer:Investors should target companies that have demonstrated a successful cloning formula, ensure they are not overvalued in terms of multiples, monitor like-for-like sales for stability, and be aware of broader market conditions

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affecting the company's growth prospects.

Chapter 12 | 12. Other Investment Criteria| Q&A

1.Question

Why are small market capitalization companies often seen as better investment opportunities compared to larger companies?

Answer: Small market capitalization companies, generally those valued between £30m and £250m, tend to have more potential for growth because it is easier for their management teams to double their size compared to managing larger firms. Over the last 50 years, such small companies have outperformed the broader market by about 3.8%, indicating substantial profit potential.

2.Question

What are some of the main risks associated with investing in small companies?

Answer: The main risks include lack of marketability, which can lead to difficulties in buying and selling shares due to limited demand. Additionally, share prices can be volatile

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and fluctuate significantly during bearish market trends, which can adversely affect individual investments.

3.Question

What advice does Jim Slater give regarding investments in AIM stocks?

Answer:Jim Slater advises that private investors should only invest in AIM stocks if they possess unique knowledge or insights about a specific company. This caution is due to the lack of marketability and limited broker forecasts associated with many AIM companies.

4.Question

What is the significance of a company buying back its own shares according to Jim Slater?

Answer:When a company buys back its own shares, it typically signifies strong confidence from the board about the company's performance and liquidity. This action reduces the supply of shares in circulation, often resulting in earnings enhancement, and shows that management prioritizes shareholder interests.

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5.Question

Why is an attractive dividend yield considered important, even for growth investors?

Answer: An attractive dividend yield supports a company's share price and indicates financial health. For growth investors, while dividends might not be a primary focus, a history of increasing dividends signals directors' confidence and may attract institutional investors who influence market dynamics.

6.Question

What does Jim Slater mean by 'something new' being a reason to buy shares?

Answer: 'Something new' refers to developments within a company or industry that could enhance its growth potential, such as new management, innovative products, significant events affecting the industry, or successful acquisitions. These factors can provide fresh momentum and justify investment, provided other fundamentals are solid.

7.Question

How does the price-to-sales ratio (PSR) serve as an

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investment criterion?

Answer: The price-to-sales ratio helps investors identify potential recovery stocks or verify if a growth company is overvalued. A PSR below 1.0, especially when combined with high relative strength, can indicate significant undervaluation, while higher PSRs might signal caution, especially in distressed companies.

8.Question

What should investors consider when evaluating the price-to-sales ratio in the context of a company's debt level?

Answer: Investors should assess a company's debt in relation to its PSR because high debt can necessitate further equity issuance, affecting the company's market capitalisation and, consequently, the PSR. A company with low debt and a low PSR is viewed more favorably than a highly geared firm with the same PSR.

9.Question

What is a crucial takeaway regarding market and investment behavior with small and mid-sized

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companies?

Answer: Investing in small and mid-sized companies can yield better performance, especially during market shifts, as these companies have the potential for substantial growth. However, investors must remain vigilant about market liquidity and volatility associated with these types of stocks.

10.Question

In Jim Slater's perspective, why is growth potential in a company's core activities essential for investment?

Answer: Growth in a company's core activities indicates that there are still ample opportunities for expansion before facing market saturation. Companies that are still realizing growth in their fundamental operations provide a more attractive investment profile compared to those that have plateaued.

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Chapter 13 | 13. Your Stockbroker and You| Q&A

1.Question

What are the primary considerations for investors when choosing a broker?

Answer: Investors should consider whether to use an execution-only broker, which saves on commissions but requires more independent decision-making, or a traditional broker that offers personalized services and advice. The trade-offs include cost vs. professional support.

2.Question

Why might an investor prefer a traditional broker over an execution-only broker?

Answer: An investor might prefer a traditional broker for the security of having a second opinion and personalized advice, especially if they are unsure about their investment decisions.

3.Question

How do execution-only brokers like Fidelity and Sharelink help investors?

Answer: Execution-only brokers provide a range of market

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and company information for free, allowing investors to make informed decisions with reduced commission costs.

4.Question

What warning does the text give about investing without thorough research?

Answer:The text warns against pursuing shares without proper research, such as not reviewing a company's annual and interim reports or other crucial financial data, as this could lead to poor investment choices.

5.Question

How can investors save time when researching potential investments?

Answer:Investors can save time by using tools like REFS to filter out companies that do not meet specific criteria, allowing them to focus only on shares that are worth considering, thus conserving energy and effort.

6.Question

What practical steps should an investor take when considering a company for investment?

Answer:An investor should check the last two annual and

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interim reports, gather relevant press cuttings, maintain a file for the company, and review the REFS entry in detail before making a final decision.

7.Question

Why is it important to maintain up-to-date files on companies of interest?

Answer: Maintaining up-to-date files on companies allows investors to return to their analysis easily in the future without starting from scratch, especially if they decide to invest after a period of observation.

8.Question

What indicates a company might not be a good investment according to REFS criteria?

Answer: A company might not be a good investment if its cash flow is significantly below its earnings per share (EPS), its previous year's relative strength is poor, or if its Price/Earnings to Growth ratio (PEG) is over one.

Chapter 14 | 14. Putting it All Together| Q&A

1.Question

What is the significance of having a PEG (Price/Earnings

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to Growth) ratio of less than 1?

Answer: A PEG of less than 1 indicates that a company's share price is low relative to its earnings growth expectations. This is particularly attractive for investors because it suggests that the stock may be undervalued, offering potential for higher returns if the company meets or exceeds its growth expectations. A PEG below 1 also implies that brokers believe there is unlikely to be a setback in earnings per share (EPS) growth.

2.Question

Why is strong cash flow essential for a growth company?

Answer: Strong cash flow is essential because it demonstrates that a company can convert its earnings into actual cash, which can be used to fund operations, capital expenditures, acquisitions, or return value to shareholders through dividends and share buybacks. Companies that generate consistent cash flow are more resilient, especially in adverse market conditions, as they can sustain their operations

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without relying on external financing.

3.Question

How should an investor interpret the directors' dealings in a company?

Answer: Investors should take note of directors' transactions as they can signal confidence or concern about the company's future. If directors are buying shares, this is often seen as a positive indicator of their belief in the company's growth prospects. Conversely, if numerous directors are selling shares, it may raise red flags about the company's outlook, and investors might be cautious.

4.Question

What does high relative strength indicate about a stock?

Answer: High relative strength suggests that a stock's price is performing well compared to other stocks in the market. This could indicate strong investor interest and confidence, potentially signaling a good buying opportunity as it may continue to appreciate in value.

5.Question

What should an investor do if a potential investment does

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not meet all mandatory criteria but shows promise?

Answer: If a potential investment does not meet all mandatory criteria but shows promise, an investor may consider making compromises. Evaluating the overall context, recent developments, and the company's fundamentals can help determine if the investment is still viable. Documenting these decisions and monitoring their results over time can inform future investment strategies.

6.Question

Why is identifying a competitive advantage crucial when selecting growth shares?

Answer: Identifying a competitive advantage is crucial because it helps to explain why a company can achieve superior financial performance compared to its peers. A competitive advantage might manifest as a strong brand, unique technology, or a robust business model, allowing a company to sustain growth and profitability in the long term.

7.Question

How can an investor mitigate risks associated with

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investments that have high perceived market capitalizations?

Answer: An investor can mitigate risks by diversifying their portfolio, focusing on growth shares with favorable PEG ratios, strong cash flow, and competitive advantages, rather than solely relying on market capitalization as an indicator. Additionally, staying informed about market trends and company performance can help make timely decisions.

8.Question

What role does evaluating macroeconomic factors play in selecting growth shares?

Answer: Evaluating macroeconomic factors is important because they can significantly impact a company's performance and its stock price. Factors such as interest rates, economic growth rates, inflation, and market sentiment can influence investment decisions. Understanding these elements helps investors to anticipate potential risks and align investments with broader market trends.

9.Question

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Why is it essential to monitor the market after purchasing shares?

Answer: Monitoring the market after purchasing shares is essential to stay informed about changes that may affect the investment's value. Market conditions, news about the company, industry developments, and economic trends can all influence stock performance. Being proactive allows investors to make informed decisions about holding, selling, or increasing their stake based on real-time information.

10.Question

What should investors prioritize when analyzing potential growth shares?

Answer: Investors should prioritize mandatory criteria such as a low PEG, strong cash flow, low gearing, positive share price strength, competitive advantage, and favorable directors' dealings. Additionally, understanding the company's growth potential and monitoring relevant financial metrics can help reinforce the investment decision.

Chapter 15 | 15. Portfolio Management| Q&A

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1.Question

What is the significance of diversifying your portfolio across multiple shares?

Answer:Diversification reduces risk; investing all your capital in one share, even if it's your top choice, can lead to disappointment if that share underperforms. For instance, focusing too heavily on Business Post might have yielded disappointing results, whereas having a mix allowed for capturing gains from other performing stocks.

2.Question

How does the concept of PEG (Price/Earnings to Growth ratio) influence investment decisions?

Answer:A low PEG suggests that a stock is undervalued relative to its growth potential, which is attractive for investors. During the chapter, it was illustrated that shares with low PEGs could maintain their appeal even after significant price increases, as they often remain affordable compared to their growth rates.

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3.Question

When is it appropriate to sell a stock according to the author?

Answer:A stock should be sold when the underlying factors that justified the initial purchase have changed, such as declining profits, competitive threats, or loss of significant business. This ensures that investments stay aligned with sound financial fundamentals.

4.Question

What role does psychological comfort play in stock allocation?

Answer:Investors should allocate larger sums to shares they understand and feel comfortable with, which may help reduce perceived risk. This means that the distribution of investment should reflect personal confidence levels, not just equal percentages among shares.

5.Question

How can an investor determine if they should hold onto a stock during downturns?

Answer:If a stock performs poorly without substantial

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explanation, reviewing the reasons for original investment and current market data is essential. If the reasons for buying still hold, then maintaining the position is advisable, showcasing the importance of informed decision-making.

6.Question

What are some of the practical investment strategies mentioned for managing a portfolio?

Answer:Strategies include using PEPs (Personal Equity Plans) to optimize tax-free growth, maintaining a detailed investment file for each stock, regularly evaluating portfolio performance against market indices, and monitoring price performance trends to gauge when to take profits or cut losses.

7.Question

What is the author's stance on stop-loss orders, and when are they recommended?

Answer:While the author prefers to hold stocks unless there's a clear reason for their decline, he acknowledges that stop-loss orders can provide peace of mind for investors

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worried about falling prices, particularly in high-risk sectors like bio-tech.

8.Question

What should investors consider regarding potential capital gains tax when selling stocks?

Answer: Investors should consider the implications of capital gains tax, which can significantly impact net returns. Holding shares may defer tax liabilities and allow investment growth without upfront costs, which is beneficial for long-term capital appreciation.

9.Question

How should the number of stocks in a portfolio be determined based on investment amounts?

Answer: For a private investor with up to £50,000, holding 10 to 12 shares is advisable. Larger investment amounts justify wider diversification, with £500,000 recommending around 15 stocks and £1 million suggesting up to 20 or more, based on risk management and comfort levels.

10.Question

What is a key takeaway about the nature of investment as

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described in the chapter?

Answer: Investment should be viewed as a systematic approach where understanding a few key businesses deeply can yield better returns than spreading oneself too thin across numerous unrelated stocks. Focus and informed choices lead to enhanced performance.

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Chapter 16 | 16. Bull and Bear Markets| Q&A

1.Question

What should investors focus on during bear markets according to the Zulu Principle?

Answer: Investors should focus on the long-term growth of companies and maintain a margin of safety in their investments. By investing 'patient money' that can withstand market fluctuations, they can remain confident during bear markets as long as the companies continue to grow their Earnings Per Share (EPS).

2.Question

How can the mood of investors signal a market shift?

Answer: While most investors feel fearful and worried, it's often an indicator that a market upswing could be imminent. When investors are overly pessimistic and have sold off their holdings, any good news might trigger a buying frenzy, thus pushing market prices upward.

3.Question

What is Warren Buffett's advice about making

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investments?

Answer: Warren Buffett suggests treating investments with utmost caution, akin to having a limited number of investments available to make in a lifetime. This emphasizes the importance of careful selection rather than casual trading.

4.Question

What are some signs of an impending bear market?

Answer: Signs of an impending bear market include low cash balances among investors, high average price-to-earnings growth (PEG) ratios, falling share prices despite good company results, and widespread investor optimism or excitement about the market.

5.Question

When should an investor consider reducing their market exposure?

Answer: An investor should consider reducing their market exposure if their investments are causing sleepless nights, indicating stress and fear. They should aim to adjust their investments down to a level that maintains peace of mind.

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6.Question

What lesson can be drawn from the psychology of investors in bull and bear markets?

Answer:The psychology of investors is significantly influenced by fear and greed; understanding these emotions and trends can help in recognizing market cycles and making timely investment decisions.

7.Question

What does the Coppock Indicator signify?

Answer:The Coppock Indicator is considered a reliable signal for predicting an impending bull market, prompting investors to consider increasing their market investments.

8.Question

How does the narrative of investing relate to lessons in patience and strategy?

Answer:Investing requires a long-term strategy, patience, and an understanding of market psychology. The narrative encourages investors to remain disciplined, seeking quality investments that are likely to weather market downturns and rise again when conditions improve.

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9.Question

Why is it important to audit your portfolio periodically?

Answer:Regular portfolio audits are crucial as they help investors identify and eliminate weak or speculative investments, thereby improving overall portfolio quality and liquidity, which is essential for navigating tumultuous market conditions.

10.Question

Can you summarize the main principles advocated in Chapter 16 of 'The Zulu Principle'?

Answer:Investors should use patient money to invest, prioritize careful stock selection with a margin of safety, recognize market signals for potential downturns, manage stress levels regarding investments, and understand the cyclical nature of market psychology, remaining alert to shifts between bull and bear phases.

Chapter 17 | 17. Technology Stocks| Q&A

1.Question

Why is the technology sector considered 'the market that beats the market'?

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Answer: The technology sector, particularly in America, has consistently outperformed the broader market since 1990, with many stocks experiencing price increases of more than ten-fold. Investors are drawn to this explosive growth, anticipating that these companies will continue to expand their market presence and profitability.

2.Question

What role does the Internet play in investment sentiment towards technology stocks?

Answer: As of early 1996, the Internet has become the most exciting aspect of technology stocks, leading to inflated market valuations for companies connected to this sector. The rapid growth of Internet users and commercial services indicates its monumental potential for future importance, generating enthusiasm among investors.

3.Question

What types of technology stocks does the author classify and how should they be approached?

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Answer: The author identifies five types of technology stocks:

1) Leading established companies, which are typically easier to value; 2) Aspiring leaders, which require more caution and attention to their industry position; 3) Small companies with profits but uncertain futures; 4) Research and Concept stocks, which often lack profits and are inherently risky; and 5) Fallen Angels, which have experienced setbacks but could present buying opportunities on recovery.

4. Question

How should investors assess the value of aspirational technology companies?

Answer: Investors should focus on the company's position in its industry, the strength of its business plan, liquidity, and avoid investing at excessively high earnings multiples. A lower Price/Earnings Growth (PEG) ratio can indicate better value.

5. Question

What is a key caution when investing in research and concept stocks?

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Answer: Investors should be wary of investing in concept stocks with massive market capitalizations and those that do not have sales or are far from profitability, as the chances of never materializing into successful companies are high.

6.Question

What is a 'Fallen Angel' in the context of technology stocks?

Answer: A 'Fallen Angel' is a technology company that was once successful but has suffered a significant downturn due to unexpected events, making its shares an attractive buy if a recovery seems likely.

7.Question

What techniques does Kenneth Fisher advocate for evaluating technology stocks?

Answer: Fisher recommends using the Price-to-Sales Ratio (PSR) and Price-to-Research Ratio (PRR) as key metrics, favoring companies with low PSRs (under 0.75) and PRRs between 5 and 10, while paying close attention to profit margins and management credibility.

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8.Question

What should investors look for in terms of management when evaluating technology companies?

Answer: Investors should assess the track record of the management team regarding margin improvements and overall company performance in past roles, as this can signal potential for future success.

9.Question

What are the implications of how technology companies treat R&D expenditures?

Answer: How a company processes R&D expenditures—whether they capitalize or write them off—can significantly affect profit visibility and risk. Investors should adjust figures for comparison consistency and be cautious of companies that use aggressive accounting practices.

Chapter 18 | 18. Cyclical Stocks| Q&A

1.Question

What are cyclical stocks and why are they important to understand?

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Answer:Cyclical stocks are those that are particularly sensitive to the overall economic cycle, meaning their performance fluctuates with the economic upswings and downturns. Understanding them is crucial as they can offer significant returns during economic recoveries, but can also incur substantial losses during downturns. This duality emphasizes the need for precise timing in investing.

2.Question

What key factors should investors consider when investing in cyclical stocks?

Answer:Investors should consider the state of interest rates, currency strength, and economic growth indicators. Specifically, they should look for the second or subsequent year of falling interest rates, a rising value of the currency, and evidence of non-oil GDP growth exceeding 4%, indicating potential future increases in interest rates.

3.Question

How can timing influence the investment in cyclical stocks?

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Answer: Timing is critical for cyclicals as they typically outperform when interest rates are falling and economic indicators are improving. For instance, investments made in the second year of a falling interest rate cycle are more likely to succeed than in the first year, as the recovery tends to be more established.

4.Question

Why might low price-to-earnings multiples be dangerous when investing in cyclical stocks?

Answer: Low price-to-earnings (P/E) multiples can be indicative of underlying problems within a company or the industry, suggesting that while a stock may seem cheap, it could actually be overvalued due to deteriorating conditions. Investors should approach such stocks with caution and perform thorough analysis.

5.Question

What does the term 'newsflow' signify in the context of cyclical stocks?

Answer: Newsflow refers to the stream of information

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pertaining to a company and its industry, including news about financial performance, corporate actions like layoffs or expansions, and management changes. Positive newsflow can signal an impending recovery and lead to rising stock prices, making it an important factor to monitor.

6.Question

How should an investor assess a company's cash position when considering cyclical stocks?

Answer:An investor should look for companies with a strong cash position and positive cash flow, which indicate resilience during economic downturns. If a company has significant borrowings but shows signs of improving newsflow, it might still be a viable investment, provided that the overall risk assessment is favorable.

7.Question

What role do directors' buying plays in evaluating cyclical stocks?

Answer:A cluster of directors purchasing shares can signal high confidence in the company's turnaround potential. This

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insider buying is often seen as a positive indicator, as directors are likely to have better insights into the company's future prospects and would not risk additional investment without belief in a recovery.

8.Question

What are some strategies for selecting cyclical stocks for investment?

Answer: Investors should aim to identify industries poised for recovery and select companies that not only appear financially sound but also show improving trends in performance and newsflow. Following the principle of risk management, investing in larger or more stable companies within those sectors may offer better safety compared to smaller firms.

9.Question

How does the economic environment impact cyclical compared to growth stocks?

Answer: Cyclical stocks are greatly influenced by the larger economic environment, thriving in periods of economic

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growth and declining rapidly during recessions. In contrast, growth stocks tend to maintain a more stable growth trajectory, delivering increased earnings even during poor economic conditions. Consequently, cyclicals require sharper attention to interest rates and market signals.

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Chapter 19 | 20. Summary| Q&A

1.Question

What is the core message of Jim Slater's investment strategy as presented in Chapter 19?

Answer: The core message of Jim Slater's investment strategy is that systematic and disciplined investing can lead to significant market outperformance. By rigorously applying a specific set of criteria for selecting growth shares, investors can filter out poor investment opportunities and highlight exceptional ones. The process involves using metrics such as PEG ratios, cash flow, and competitive advantages to make informed decisions.

2.Question

What are the mandatory requirements Jim Slater sets for selecting growth shares?

Answer: The mandatory requirements include: 1) a PEG ratio of under 1.0 (or 0.75 for smaller funds); 2) a prospective PER not exceeding 20; 3) cash flow per share that exceeds

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earnings per share (EPS) for both the last reported year and the previous five years; 4) low gearing (under 50%) or positive cash balances; 5) strong relative strength in stock performance over both the last year and the last three months; 6) a strong competitive advantage; and 7) no significant selling by directors.

3.Question

Why does Slater allow for flexibility in applying his investment criteria?

Answer: Slater allows for flexibility because he acknowledges that markets are not static and that minor historical infractions in some metrics (like previous EPS growth) may not disqualify a stock from being a good investment. He believes that strong performance in key areas can compensate for small weaknesses, demonstrating that investment decisions should be based on the overall attractiveness and context of a company rather than strict rules.

4.Question

How does Slater suggest evaluating the competitive advantages of potential investments?

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Answer:Slater suggests evaluating competitive advantages by using common sense, conducting research by reading annual reports, broker circulars, news articles, and leveraging insights from knowledgeable contacts. He stresses the importance of understanding what sets a company apart and how it can maintain or enhance its market position.

5.Question

What does Slater recommend regarding the number of shares to include in a portfolio?

Answer:Slater recommends holding about 10-15 shares for small portfolios and increasing that number to 30 or more for larger portfolios. This balance allows for diversification while still focusing on quality investments.

6.Question

What is Slater's advice regarding when to sell shares?

Answer:Slater advises that when a share's PEG reaches over 1.2, it signals that the safety margin is thinning, prompting the investor to reassess the position. He emphasizes the importance of taking capital gains tax into consideration but

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generally encourages selling when the PEG exceeds market averages or when investments are causing anxiety.

7.Question

How does Slater emphasize the importance of developing a personal investment strategy?

Answer:Slater emphasizes that developing a personal investment system or method tailored to individual goals is crucial. This system should be adaptable and continuously refined through ongoing learning and experience, rather than being set in stone. He stresses that investors should invest time in understanding investment concepts and developing their skills to enhance their success.

8.Question

According to Slater, what role does ongoing education play in successful investing?

Answer:Ongoing education is vital for successful investing. Slater encourages investors to read extensively about investment strategies, subscribe to financial publications, and dedicate time to strategic thinking about their investments.

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He believes that improving one's knowledge and understanding of the market will lead to greater enjoyment and profitability in investing.

9.Question

What can investors learn from Slater's successful performance metrics related to PEG ratios?

Answer:Investors can learn that stocks with PEG ratios of 0.6 or lower have historically outperformed the market by significant margins (22.9% increase compared to the market's 8.9%). This illustrates that focusing on growth potential relative to price can lead to better investment returns.

10.Question

What general mindset does Slater encourage investors to adopt towards the market?

Answer:Slater encourages investors to focus on specific stock selection rather than getting overly concerned with the overall market. He suggests that timing is less important than making well-researched and thoughtful investment choices.

11.Question

What is the ultimate goal of following Slater's investment

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advice, according to the chapter?

Answer: The ultimate goal of following Slater's investment advice is to achieve significant financial gains through disciplined and informed investing, turning investment into a rewarding and enjoyable endeavor.

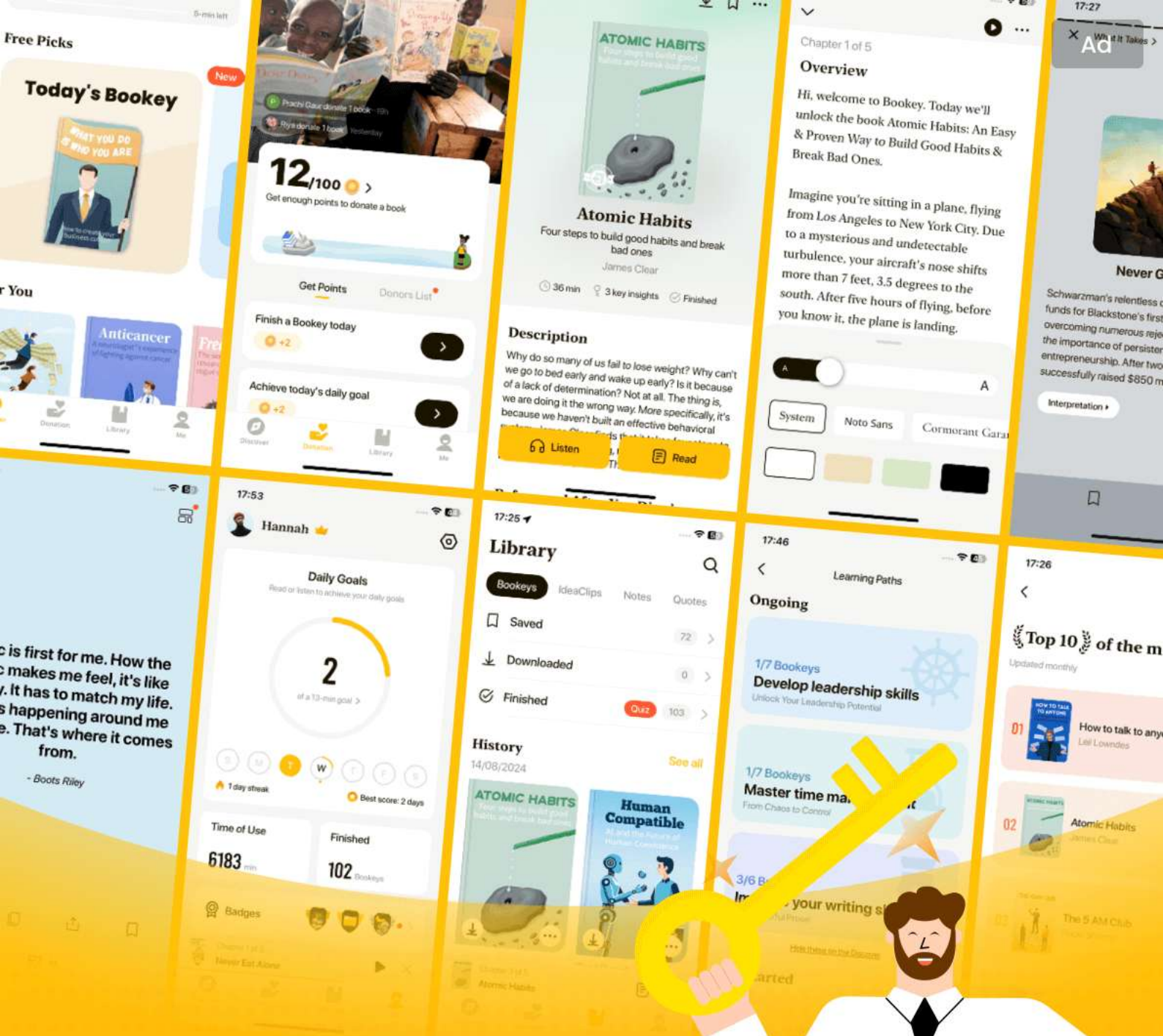
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The Zulu Principle Quiz and Test

Check the Correct Answer on Bookey Website

Chapter 1 | 1. Your Approach to Investment| Quiz and Test

1. Individual investors can successfully compete against professional fund managers who lack rigorous theoretical training.
2. Investment clubs are not beneficial for individual investors and do not provide any resources for collaboration or shared expertise.
3. The Zulu Principle advises private investors to diversify their portfolios widely rather than focus on a narrow subject or sector.

Chapter 2 | 2. Why Growth Shares?| Quiz and Test

1. Investing in growth shares provides immediate gains when value discrepancies are corrected and long-term benefits through compounded earnings growth.
2. The author advocates for market timing as a superior

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strategy to investing in established growth shares in order to maximize profits.

3.Establishing a margin of safety is irrelevant when buying growth shares as per their price-earnings ratios against their growth rates.

Chapter 3 | 3. What is a Growth Share?| Quiz and Test

1.Growth companies consistently increase EPS above average.

2.Most growth shares are found in highly cyclical sectors such as construction and manufacturing.

3.Aiming for a minimum EPS growth rate of 15% signifies strong potential for profitability over time.

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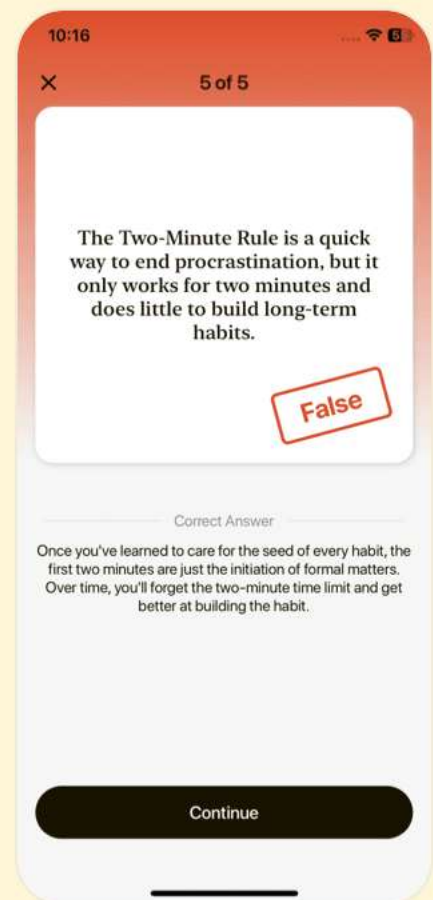
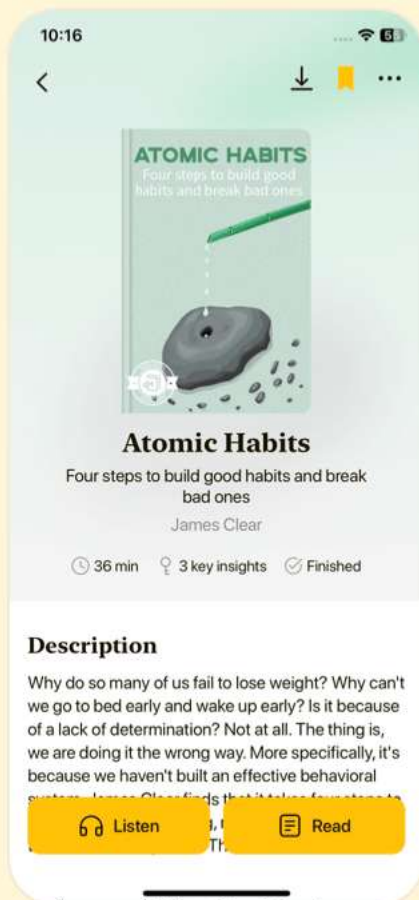


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Chapter 4 | 4. Price-Earnings Growth Factors| Quiz and Test

- 1.The average PEG value around 1.5 indicates potential undervaluation of the market.
- 2.A PEG value of 1.0 suggests that a company's Price-Earnings Ratio and its growth rate are balanced.
- 3.Investors should rely solely on the latest EPS numbers without considering consistency in the time periods used for calculating PEG.

Chapter 5 | 5. PEGs at Work| Quiz and Test

- 1.Low PEG stocks significantly outperformed the market during 1995/6, with PEGs under 0.6 averaging a 23% increase.
- 2.The Fledgling index is a reliable source for PEG assessment due to its mix of new and declining companies and high marketability.
- 3.Stocks with PERs above 20 should be avoided, as they are more resilient in bear markets and are unlikely to regress in growth rates.

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Chapter 6 | 6. Cash Flow| Quiz and Test

1. Cash flow is less likely to be manipulated than earnings.
2. A low PCF indicates strong cash flow.
3. Healthy cash flow facilitates loans, future capital expenditure, dividends, and share buybacks.

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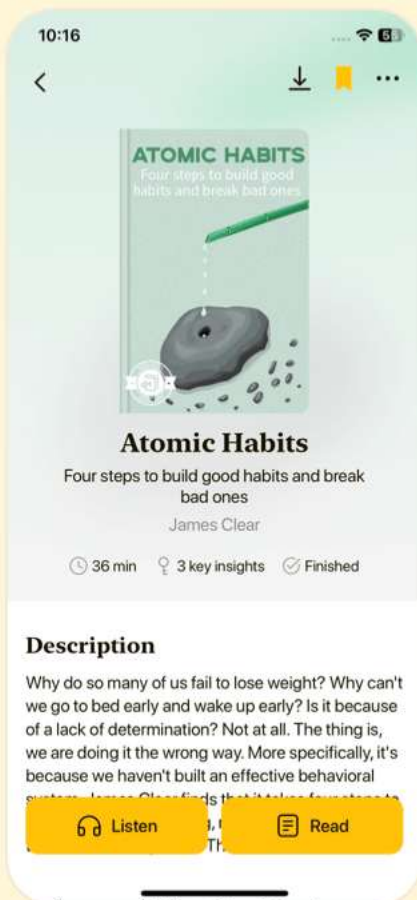


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Chapter 7 | 7. Relative Strength| Quiz and Test

1. Good relative strength over the previous twelve months is commonly present in the ten best winning strategies examined.
2. The relative strength sieve's efficacy improves significantly in bear markets due to increased investor confidence.
3. Positive relative strength for the previous month and the previous year is a requirement of the third sieve criteria.

Chapter 8 | 8. Management| Quiz and Test

1. Investors should ensure that company management is competent and honest before investing.
2. New CEOs generally do not have a significant impact on a company's direction or performance.
3. Monitoring directors' share transactions is irrelevant to investment decisions.

Chapter 9 | 9. Competitive Advantage| Quiz and Test

1. Competitive advantages can be established through strong brand names, patents, and legal

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monopolies.

2. Companies without competitive advantages, such as small restaurants, are less risky investments than those with advantages.

3. ROCE and operating margins are important metrics for analyzing a company's competitive position.

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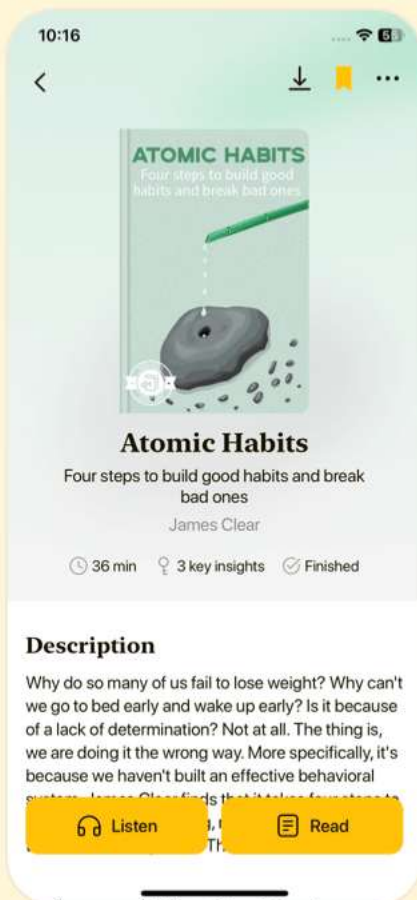


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Chapter 10 | 10. Strong Financial Position| Quiz and Test

1. A gearing ratio above 50% is always a warning sign for a company.
2. The Quick Ratio should ideally be over one, which indicates a good financial position.
3. A Current Ratio of 1.25 is considered strong in non-retail industries.

Chapter 11 | 11. Accelerating Earnings Per Share| Quiz and Test

1. Investors should act quickly following positive earnings announcements due to the potential increase in EPS and PER adjustments.
2. The growth in EPS is always immediately reflected in share prices.
3. Cloning successful business models doesn't contribute to accelerating EPS growth.

Chapter 12 | 12. Other Investment Criteria| Quiz and Test

1. Companies with market capitalizations between

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£30m and £250m often outperform larger firms.

2.Dividend-paying companies do not attract more buyers and do not indicate management confidence.

3.A PSR below 1.0 is a strong investment criterion only in high-growth industries.

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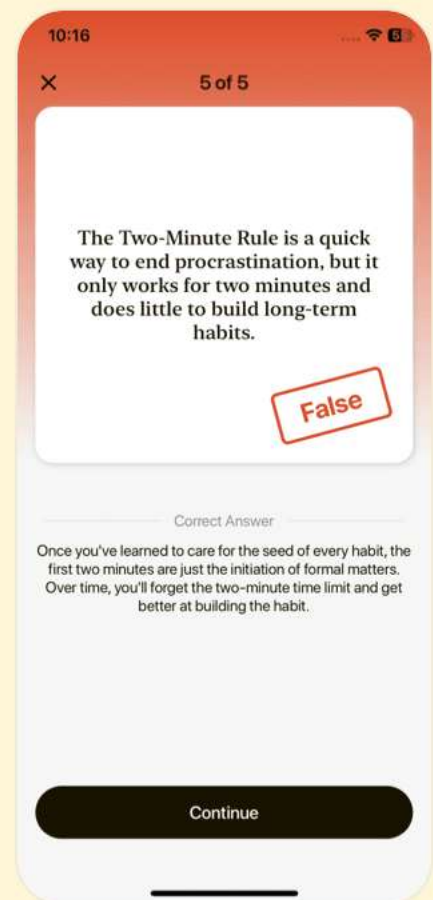
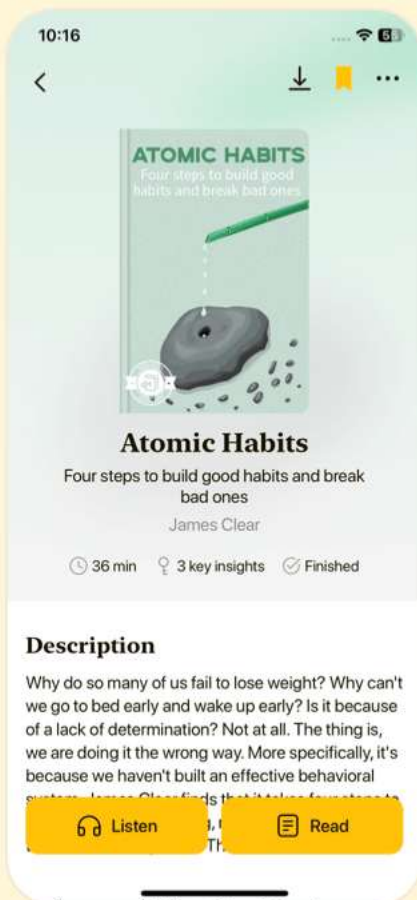


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Chapter 13 | 13. Your Stockbroker and You| Quiz and Test

1. Execution-only brokers like Fidelity save on commission but offer extensive support for investors.
2. Traditional brokers typically charge commissions ranging from 1.65% to under 0.3% based on transaction size.
3. Minimum required information for researching a company includes three annual reports and twelve months of press cuttings.

Chapter 14 | 14. Putting it All Together| Quiz and Test

1. A PEG ratio greater than 1.0 is crucial for selecting growth shares.
2. Companies should exhibit a competitive advantage, evidenced by high return on capital employed (ROCE) and good operating margins.
3. A preference for companies with market caps less than £30 million is highly desirable.

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Chapter 15 | 15. Portfolio Management| Quiz and Test

1. Jim Slater recommends maintaining a portfolio of 10-15 shares for individual investors.
2. Slater advises individual investors to concentrate heavily on a few stocks like legendary investors do.
3. To maximize tax benefits, Slater suggests avoiding Personal Equity Plans (PEPs).

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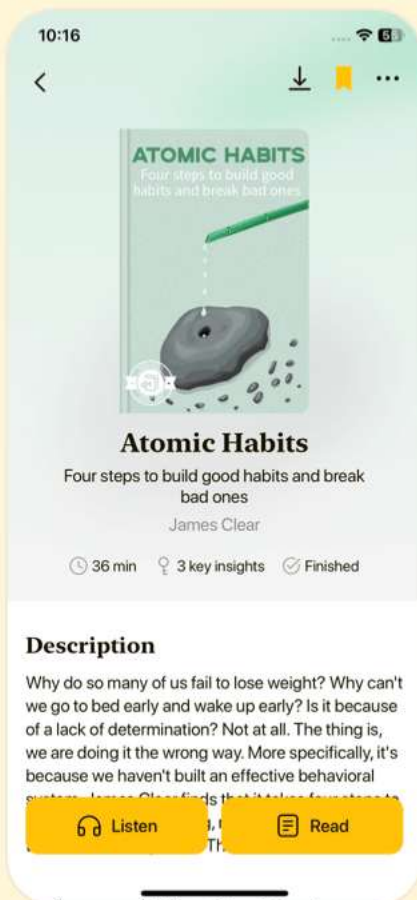


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Chapter 16 | 16. Bull and Bear Markets| Quiz and Test

1. Investors focusing on a margin of safety should be worried about market fluctuations.
2. Bull markets can thrive even when there is widespread investor worry.
3. The Coppock Indicator is irrelevant for anticipations regarding bull markets.

Chapter 17 | 17. Technology Stocks| Quiz and Test

1. Technology stocks are primarily characterized by their potential for growth and significant market performance.
2. Fallen Angels are companies that have always been consistently successful and show no signs of recovery.
3. Investing in research and concept stocks is considered a safe investment strategy with guaranteed returns.

Chapter 18 | 18. Cyclical Stocks| Quiz and Test

1. Cyclical stocks thrive in periods of rising interest rates.

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2. Successful investment in cyclical stocks typically occurs during the first year of falling interest rates.
3. Investing in knowledge through reading expert accounts can significantly improve investment performance.

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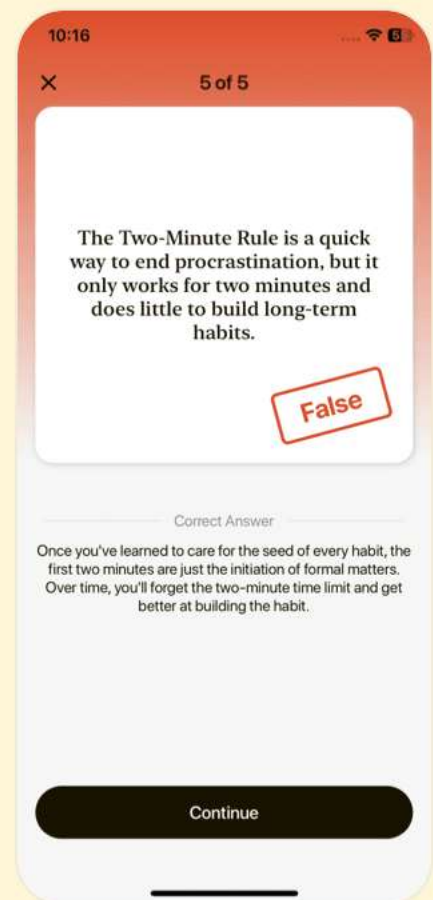
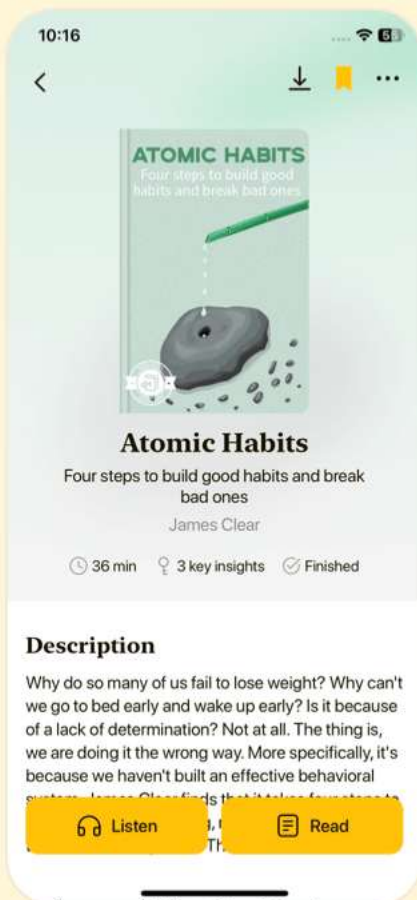


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Chapter 19 | 20. Summary| Quiz and Test

- 1.The Zulu Principle suggests that a PEG ratio under 1.0 is mandatory for large funds.
- 2.According to the Zulu Principle, a prospective price-to-earnings ratio (PER) should exceed 20.
- 3.The book advocates for a rigid adherence to all investment criteria without any flexibility.

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